

Indian Oil Corporation Ltd. (IOC)

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Indian Oil Corporation Limited Q3 2025 Earnings Call

January 28, 2025

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SHRI PRABHAT HIMATSINGKA – GM TREASURY , INDIAN OIL CORPORATION LIMITED
MODERATOR : MR. VARATHARAJAN SIVASANKARAN – ANTIQUE STOCK BROKING LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to the Indian Oil Corporation Limited Q3 FY '25 Earnings Conference Call , hosted by Antique Stock Broking Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch -tone phone .

I now hand the conference over to Mr. Varatharajan Sivasankaran from Antique Stock Broking. Thank you, and over to you.

Varatharajan S.: Thank you. A very good morning to everyone. It's my pleasure to welcome the IOCL Management and the participants to this call.

We have with us Mr. Anuj Jain – Director (Finance) ; Mr. R. V. N. Vishweshwar – ED Corporate Finance; Mr. Pramod Jain – CGM (Treasury) ; and Mr. Prabhat Himatsingka – GM (Treasury) . Without much ado, I hand over the floor to Mr. Anuj Jain for the opening remarks.

Anuj Jain: Thank you. Dear investors and analysts, a very good morning , and a very happy New Year to all of you. I take this opportunity to welcome all of you to the Conference Call , organized by us , post announcement of the third quarter results of Financial Year '24, '25. I thank each one of you for joining the call. I believe you would have gone through the accounts hosted on the website and also through the updates received by most of you.

I would like to briefly dwell on the results to provide additional clarity and insight. This quarter we have registered a profit after tax of INR 2,874 crores, which was INR 180 crores in the preceding quarter and INR 8,063 crores in the corresponding quarter of financial year 2024. From a 9-month perspective, the PAT is INR 5,697 crores as against INR 34,781 crores in the 9M FY '24. Revenue from operations during this quarter is INR 2,16,649 crores as against INR 1,95,149 crores in the preceding quarter of this year. The revenues of the corresponding quarter of FY '24 was INR 2,23,012 crores.

Friends, despite the global volatility and challenges, Indian Oil achieved strong operational performance and historically highest sales volume. Now, the operational highlights will be briefed by ED Corporate Finance and Treasury, Shri R. V. N. Vishweshwar . Over to you, Mr. Vishweshwar.

R. V. N. Vishweshwar : It's been quite a while since we have interacted with you all. So , I will just share across the highlights and the performance parameters.

As you're already aware that the global financial landscape in the year 2024 was marked by significant volatility on the back of geopolitical uncertainties, ranging from global inflation, Indian Oil Corporation Limited
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ongoing Russia -Ukraine conflict, weakness in Chinese economy , and the U.S. presidential election results.

We witnessed Indian rupee to depreciate to historic lows. While the Indian rupee 's depreciation has intensified further in January '25, however, rupee witnessed lowest volatility against the U.S. dollar in years and depreciated 2.9% during the calendar year 2024 , against the last 10 years average of 3%, mainly due to inflows in Indian bond market after inclusion in JPMorgan Index to keep USD -INR stable. India's high import dependency for crude oil makes the OMC susceptible to exchange losses due to depreciation in the Indian rupee against the U.S. dollar. On the interest rate front, despite the U.S. Fed initiating much awaited rate cut cycle by reducing the U.S. Fed rate by 100 basis points in 2024, the U.S. presidential election results kept the long -term U.S. treasury yields volatile and elevated. Despite the headwinds, Indian Oil remains steadfast in its commitment to ensure the energy security of the nation , by making available energy to every nook and corner of the

country at an affordable cost.

You would have seen from the data published by PPAC that petroleum products consumption in the country for the 9 months ended 31st December '24, that was 178.5 MMT is higher than the corresponding period of last year, which was 172.6 MMT.

As per the latest PPAC estimates published in January '25, India's petroleum product demand is projected to grow to reach an all -time high of 252.9 MMT in the next financial year FY '26, marking a 4.65% increase from 241.8 MMT estimated for the current year, that is '24 -'25.

There is now a consensus among the domestic and international agencies , based on interactions which we had that the demand of petroleum product in India is to grow in the coming years. To meet the increased energy demand of the nation, Indian Oil is investing about INR 72,000 crores for enhancing the stand -alone refining capacity by about 25% to reach about 88 MMTP A.

At the same time, we are also augmenting our marketing and pipeline infrastructure to ensure last-mile delivery of energy to every citizen . The company is leveraging its research capabilities to enhance Aatmnirbharta, and to enhance customer delight through industry first and exclusive offerings like branded fuels , XP100, XP95, XtraGreen, XtraTej ; niche aviation fuel like AVGAS 100 LL, Reference Gas Oil. And this Reference Gas Oil is available with select companies worldwide. Nic he fuel for Asian Road Racing Championship "Storm" to take a few names. Further, in view of changing mobility preference of customers, the company is transforming its retail outlets into energy stations. These energy stations are envisioned as comprehensive energy solutions along national highways and green expressways, offering a range of fuel options including conventional transport fuel, LNG, CNG and charging stations for EVs. The company's CRM solutions have been embedded across its petroleum and petrochemicals marketing segments.

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We have a customer -centric digital platform, EPIC, Electronic Platform for Indian Oil Customers, which provides unified customer experience for all its line of business.

On the sustainability front, while as the energy of India, Indian Oil is strengthening the self -reliance and energy sovereignty of India by investing in conventional fuels , the Corporation is steadfast in its unwavering commitment of sustainable and bright future.

Indian Oil is fueling its ascent and clean energy transition by venturing to range of alternative energy solutions around natural gas, CBG, Bio fuels, hydrogen and e -mobility, which will be shaping the future energy landscape of the world.

Indian Oil is steadfast in achieving net -zero plan by the year 2046. The company has aimed to elevate the contribution to energy sector from a present 9% to 12.5% by the year 2050.

Indian Oil plans to build a renewable energy portfolio of 31 gigawatt by 2030 , by developing large -scale renewable energy capacities for serving its captive power demand , and with focus on market demand opportunities and has formed a wholly owned subsidiary, Terra Clean Limited, which would invest in cutting -edge technologies to create a more efficient, sustainable , and low carbon energy ecosystem in India.

Collaborations have also been for ged with leading companies like NTPC Green Energy Limited and SJVN Limited to infuse green power for refinery expansions and expand the renewable energy bouquet.

We are working to deliver 20% ethanol blended fuel by this year, and have achieved ethanol blending of about 18.2%. We are also working on advanced biofuels through its 2G, 3G ethanol

plants at Panipat; a sustainable aviation fuel plant of 86.8 TMT per annum capacity is being set up at Panipat.

Indian Oil is the first company in India to sell CBG under the IndiGreen brand to customers through 97 retail outlets in 37 plants.

Indian Oil has

been leading the nation in harnessing hydrogen and its application as the ultimate sustainable energy of the future. Indian Oil is reinforcing the hydrogen ecosystem and developing a 10 KTA green hydrogen plant at Panipat refinery.

To promote hydrogen mobility, we have set up India's first hydrogen dispensing station at our R&D center in Faridabad, followed by a station in Gujarat refinery. Indian Oil is undertaking trial run of 15 number fuel cell buses in Delhi NCR to promote green hydrogen and fuel cell technology in heavy-duty e-mobility.

Our collaborations with industry leaders like ReNew and L&T will strengthen the green hydrogen ecosystem in India. The collaborations with leading Israeli e-mobility company, Phinergy, to develop and commercialize novel aluminum air battery technology; and with the Indian Oil Corporation Limited

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global energy storage company, Sun Mobility, Singapore for creating battery swapping infrastructure in the country are significant strides towards nurturing e-mobility ecosystem in the nation. As we step into 2025, we are optimistic about the opportunities that lie ahead of us. Now while talking about the numbers on the key highlights, the average price of crude Indian basket, 76% Oman, Dubai, and 24% Brent during this quarter was at \$73.86 per barrel, a reduction of about 6% from the average price of the immediate preceding quarter, that is Q2 FY '25, that was \$78.89 per barrel. If you compare it on corresponding quarter basis, in Q3 '23-'24, it was \$83.86 per barrel. There is a reduction of 12%.

Various geopolitical factors, starting from the imposition of Russian sanctions by the U.S., uncertainty over the impact of U.S. President Donald Trump's energy policies, and proposed tariffs on the market have kept the crude oil prices volatile.

With respect to the crack spreads, Indian basket dollar per barrel. MS cracks has marginally improved during this quarter at \$3.29 per barrel as compared to the previous quarter of \$3.04 per barrel. Cracks are a little lower than the corresponding quarter of '23-'24, which was at \$3.47 per barrel.

For HSD, the crack spreads during this quarter is \$12.19 per barrel and have outperformed the preceding quarter, which was \$9.77 per barrel. However, the cracks are lower than the corresponding quarter of FY '23-'24, which was at \$20.58 per barrel.

In the petrochemical space, the spreads (In Dollar per MT) of the major products have witnessed a mixed variance over the last 1 year. The spreads for polymers have remained more or less similar. The spreads of PT A has witnessed a sharp decline, and the spreads for MEG, while has improved, but still continues to be negative. The weak global economic outlook and new capacities continue to weigh high on the petrochemical prices globally.

Now let me briefly touch upon the major verticals:

First, I will touch upon refineries:

The throughput during the quarter was 18.1 MMT with a capacity utilization of 102.3%, which is higher than the preceding quarter, which was 16.7 MMT of capacity utilization of 94.5%, but was slightly lower than the corresponding quarter of '23-'24, which was at 18.5 MMT, having a capacity utilization of 105.1%. The distillate yield was at 82.2% during this quarter, which is same as the previous quarter, 82.2%, but better than the corresponding quarter of FY '23-'24, which was at 80.5%.

Fuel loss during this quarter was 8.7%, whereas during the preceding quarter, it was 9.2%. Our refineries have registered a GRM of \$2.95 per barrel during this quarter as compared to \$1.59 per barrel during the previous quarter. GRM in 9 months '24-'25 was \$3.69 per barrel vis-a-vis the 9 months for '23-'24, which was \$13.26 per barrel.

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The normalized GRM after stripping off inventory impact and factoring the price lag for the

quarter is \$6.60 per barrel as against \$3.13 per barrel for the previous quarter. If we compare on a 9-monthly basis, the normalized GRM for the current 9 months is \$4.22 per barrel as against \$12.60 per barrel in the corresponding period of last year.

Now coming to pipelines:

The capacity utilization was about 69.6% during this quarter as compared to 69.1% in the

previous quarter, throughput of 24.9 MMT in the quarter 3 of FY '24 -'25 vis -a-vis 24 MMT in the quarter 2 of FY '24 -'25.

As on 31st December '24, Indian Oil has total pipeline network of more than 18,500 kilometers, including product and crude oil, which accounts for more than 50% of the total pipeline network of the country. The large pipeline network provides strategic access to the markets and helps reduce the cost of placement of products.

Now touching upon marketing :

Indian Oil, I am glad to say, has achieved the highest ever sale of petroleum products during the quarter of 23.38 MMT as compared to 20.52 MMT in the previous quarter. This is the highest ever in the history of Indian Oil for any particular quarter.

On a 9 -monthly basis, sales have improved. That is 66.61 MMT in 9 months of '24 -'25 vis -a-vis 65.66 MMT in the 9 months of the previous year.

On the petrochemical side, the sale of petrochemical products during this quarter was 0.89 MMT as compared to 0.77 MMT in the preceding quarter. Sales for quarter 3 FY '24 was 0.687 MMT.

On a 9 -monthly basis, pet -chem sales in the 9 M FY '25 was 2.407 MMT, it was more than the sales recorded in 9 M of FY '24, which was 2.245 MMT.

Now touching upon the borrowings :

With respect to the borrowing levels, the borrowings as on 31st December '24 has increased by about INR 15,000 crores , and is at INR 1,31,480 crores as compared to INR 1,16,49 6 crores as on 31st March 2024.

If we compare, however, it has reduced by about INR 11,000 crores from the previous quarter.

The increase in borrowings was mainly fueled by LPG under recoveries, higher working capital. However, on a quarter -on-quarter basis, the decrease of INR 11,000 crores was there , because in the previous quarter, it was INR 1,42,727 crores. The decrease is mainly attributable to increased accruals. With the current debt -to-equity ratio of 0.77 as at 31st December '24, Indian Oil is comfortably placed to fund the ongoing CAPEX plans.

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With this, I will pause here , and request Director Finance to address any further remarks, any queries.

Anuj Jain: I think we can take on the question now. Yes, please.

Moderator: The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: I think 2 or 3 questions. Firstly, as far as the Russian crude situation is concerned, just wanted a sense of how much percentage of our crude sourcing in Q3 was from Russian crude ? And at what discount to benchmark, if that can be shared? And what is the Q4 situation looking like at this point in time?

Anuj Jain: During the Financial Year '2 4-'25, up to December, Russian crude oil import accounted for nearly 25% of IOC's total crude oil imports. And the discounts we were getting up to December were in the range of benchmark crude minus 3. But now the discounts have come down in the range of benchmark crude minus 1 to 1.5.

Probal Sen: The second question, sir, is it possible to share the inventory impact in the marketing segment for this quarter?

Anuj Jain: See, we have the total impact which we have suffered. I think I will share you the total impact with you. Basically, if you compare quarter 3 to quarter 3, the impact is on the account , last year, we had an inventory gain , this year we have an inventory loss . So, the incremental difference is INR 7,800 crores.

Probal Sen: INR 7,800 crores. So, that is the swing from Q3 to Q3.

Anuj Jain: Yes.

Probal Sen: And third question was, sir,

with respect to the expansion plans, which you mentioned about reaching 88 million in capacity on a CAPEX of INR 72,000 crores. Can you give a little bit granularity, which plants are sought to be expanded and whether any petrochemical capacity will also be added alongside this refining capacity?

Anuj Jain: Yes, I can share that. See, as you know that Indian Oil has gone for expansion for 3 major refinery units , okay? We are adding 25% of our throughput capacity. The first one is the expansion in Panipat, where from 15 MMTPA, we are going to 25 MMTPA. This is INR 38,000 crores project. And the expected completion is end of Financial Year '2 5-'26.

The second one which we are going for the expansion of our Gujarat refinery. It is almost a INR 19,000 crore project. The scheduled completion date is again the last quarter of FY '25-'26.

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And the third expansion, what is going on is the Barauni refinery expansion, which is from 6

MMTPA to 9 MMTPA. This is also a n INR 14,800 crores project , and the completion is underway as on date. It will also happen after 1 or 2 years .

So, these are the 3 major expansions happening in the refining capacities. And the other thing what we are adding is, as you know that today, our petrochemical intensity , we are focusing on. So, basically, a part from the refinery expansion, even the petrochemical intensity will go up in all these projects .

As far as the pure petrochemical units are concerned, we are at present going PX, PTA at Paradip. That is a INR 13,800 crores of projects, and it is also expected to come in the next financial year. Then we have other projects like polypropylene plant at Barauni, Gujarat, Panipat. We have so many other projects coming in various units of Indian Oil. So, a lot of CAPEX being done. Last year, we've done a CAPEX of almost INR 40,000 crores. And this year, we plan to do a CAPEX of INR 35,000 crores.

Probal Sen: When we say this year , that means FY '25, the full year, right?

Anuj Jain: Yes. FY '24-'25 yes. So , we will be spending almost INR 35,000 crores.

Probal Sen: And how much have we spent in 9 months, sir?

Anuj Jain: We have almost spent INR 28,000 crores up to December.

Moderator: The next question is from the line of Yogesh Patil from Dolat Capital. Please go ahead.

Yogesh Patil: Sir, we wanted mo re on the Russian crude side. Do we have any long -term oil sourcing contracts with the Russian supplier? And post these recent sanctions, what would be the impact on the contract? That's one thing. And sir, what is the current crude sourcing arrangement? Ho w much is the long term, short term? If you could share percentage terms, that would be helpful. That's one.

Anuj Jain: See, I will share with you . If you see in '19 -'20, we almost used to buy very negligible , almost 0% crude from Russia. And it touched 21% after the crisis, we started taking 21% in '22 -'23. And '23 -'24, we touched almost 30%. But this year, April to December '24, we have processed 25% Russian crude as on date.

So, this is a position of processing the Russian crude over the spast 5 years , okay? And see, as far as we have been quite vocal in this that, Indian Oil has many markets to procure the crude oil, whether it is Middle East, Africa, America, Russia and many other markets are there. So , we try to buy the crude from whichever market which gives us the cheapest. In '19 -'20, we never used to buy a single drop , but suddenly, we got up to 30%. Now if the scenario changes, we already have markets .

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There's no dearth of crude oil availability in the world. Only the commercial aspects are to be seen, at what discount we used to get the Russian crude before. If due to new sanctions, discount come up or the quantity comes down, we already have term contracts with various Mid

dle

Eastern countries through which we will be able to get enough crude for the company.

Yogesh Patil: Sir, let me quickly reframe the question. So , my question was like that do we have any long -term oil sourcing contracts with the Russian supplier for the calendar year 2025? And post these sanctions, will it impact on our any long -term contract, if any? Yes, that's the question.

Anuj Jain: For FY '24-'25, we do not have any term contract for Russian crude. So, the second question does not , because we are not going to be get impacted.

Yogesh Patil: Sir, second question from my side. As you just mentioned that Panipat, Koyali and Barauni refinery expansions will mechanically be ready by FY '25 -'26. But sir, our question is mostly on the commissioning. When it will get fully commissioned , and it will start contributing to our profit and loss account statement, mostly on the EBITDA contribution. When can we expect? Will it be in FY '27 or it will take much more time and it will be reflecting in FY '28?

Anuj Jain: See, as on date, our commissioning target s, I will tell you, for Panipat, commissioning is by December '25, okay? But as you know, any new refinery will take some time to get stabilized. So, the income , the first year, maybe 50% to 60%, suppose it comes in the December '25. So, '25-'26 doesn't happen anything. '26 -'27, definitely, the refinery will start. And normally, we have seen the first year we touched almost 50% to 60%. And 100% take minimum 2 years to achieve.

Same is the case with the other things , where for even the Gujarat refinery, it is expected to be commissioned in the last quarter of Financial Year '2 5-'26. So, some revenues will start coming in '26 -'27, but the full -blown income will start coming in '27 -'28.

Yogesh Patil: In case of Barauni, sir, commissioning expected in which quarter?

Anuj Jain: See Barauni expansion as on date, we are saying that it is going to again in the next financial year end. And although it may happen in stages, but definitely, all the 3 refineries are almost coming in the same fashion today.

Yogesh Patil: So, the full contribution will most likely come in FY '28. Is that a correct understanding?

Anuj Jain: No, I think so since it will be commissioned in last quarter of next financial year, maybe some

crude input will be done in the last quarter. And yes, major input will be coming in '26 -'27.

Moderator: The next question is from the line of Sumeet Rohra from Smartsun Capital Private Limited.

Please go ahead.

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Sumeet Rohra: It's very nice of you to restart having these conference calls, and it's very encouraging to have a chat with you. Sir, today, my questions are more to you as an investor rather than an analyst because I mean, we have several analysts who are going to ask you on cracks and throughput, et cetera. So, sir, I'm going to have a very candid conversation with you as an investor. Sir, today, IOC is the third most valuable company in terms of sales in India, okay? But our market cap has now slipped down to number 46.

Now sir, clearly, from an investor point of view, this is absolutely unwarranted. And I also understand that our esteemed Oil Minister had a meeting with all the analysts and investors, and unfortunately, I couldn't make it there, because we're obviously concerned on market cap. Sir, the first thing which I would like to highlight to you is today, sir, LPG under recoveries are INR 14,000 crores. I mean our profit is about INR 5,500 crores. But sir, LPG under recovery is INR 14,000 crores.

Now sir, how can we ever get market cap, if we don't get our earnings in order. Today, if you adjust for the LPG, your earnings are, okay. INR 19,000 crores, INR 20,000 crores is very good. You would also have paid a good dividend by now. But today, you've not even paid dividend. So, sir, this practice of this LPG under

recovery of absorbing this is not giving a very sweet throughput, because today we have lost a staggering INR 95,000 crores in market cap. I mean, I repeat, sir, from the high to today, we have lost INR 95,000 crores of market cap.

Now sir, this is investors' wealth, which is gone. And LPG prices were cut in March of last year. And the government is not paying till now, then sir, how is it going to benefit shareholders of public sector? Just to give you a small example, public sector stocks have had the biggest bull run in India today. If you see over the last 3, 4 years, stocks in defense, railways, I mean, they've gone up 10x, 15x, 20x.

Sir, the oil and gas space is completely absent in this entire rally because of policy uncertainty or earnings visibility. So, sir, my humble request to you is we are a very valuable company. I mean we are the Number 3 company in sales in India. But sir, our market cap at INR 1,70,000 crores, surely does not deserve it from an investor angle.

So, sir, I would really request you that please have a look at some of these issues, because you are doing extremely well in sales, you are doing extremely well in your throughputs, you're doing extremely well. But sir, ultimately, as the investor, sir, we are concerned with market cap because we come to make return for our investors. But in spite of backing India's best companies, if we don't make return because of LPG under recovery, then sir, it is not doing justice to anyone's cause.

So, sir, that's my honest feedback to you is that, sir, please have a very serious candid look and please communicate this to the relevant authorities that this LPG under recovery is clouting earnings, it's clouting dividend. The earnings visibility is not coming in, because of which we

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are losing out. So, my request is, sir, if you can get that issue addressed, it will go a long way in building our market cap.

Just one thing, sir, today, our total asset is INR 4,85,000 crores. I mean that is a staggering asset base we have, but market cap is 1/3. So, please, I humbly request you, sir, please have a look at this issue because this is something which will re-rate it. The budget is coming up now. It is a God given opportunity for you. Please have this issue addressed. That is my only request to you. Other wise, sir, you are doing very well. I have nothing to tell you, because you guys are a very superb Management team in place. But sir, this LPG under recovery is something which is clouting us in a very, very bad way, sir. Thank you very much.

Anuj Jain: Thank you, Sumeet, for your guidance to us. I would say the only thing I would have loved if you would have been in Mumbai when the Honorable Minister had the Investors Meet. He had clearly mentioned ...

Sumeet Rohra: Unfortunately, I could not make it because it was only at a 1 -day notice that we got the invite. But however, sir, I have tried to communicate this because, sir, today, I will be honest to you how our hearts bleed. I mean when market caps of Indian Oil, Bharat Petroleum and Hindustan Petroleum are at these prices, is clearly not warranted. Think about it, how can the 3 market caps of the 3 companies which supply 90% of India's fuel be at INR 3,00,000 crores. I mean they're absolutely unwarranted and it is being suppressed just because of this issue of LPG under

recovery. Think about it, sir, if today LPG under recovery was not there, would these companies be trading at these market caps.

So, sir, by not paying the LPG under recovery, the biggest damage the government is doing is to itself. So, I really am astonished that why is this happening? Because sorry, it's in front of your eyes, right? I mean we've not paid dividend till today. Your throughput may go up by 25%, but if your bottom line does not show that, it's not going to really benefit from an investor point

of

view, right? Because see, you're holding investor calls for investors, right? But sir, ultimately, this is something which you can handle. And I'm sure that if you guys go and explain to the government and say that boss, we have minority investors, and minority investors are suffering because of this, I'm sure they'll figure a way, and everything will come back, because Indian Oil doesn't deserve this market picture. That's my only request to you.

Anuj Jain: No, I will only say one thing that due to various government initiatives to provide LPG at affordable prices to masses, OMCs sell LPG at subsidized rates, and thereafter seek reimbursement of these subsidies from government, and this LPG is a controlled product. Ministry is doing their part. And if you have seen in the past also, against the INR 28,000 crores under recovery, negative buffer, we were given INR 22,000 crore subsidy by government to all the OMCs. And as we have discussed that day also, the government is fully seized of this matter. And they have said that they are discussing this matter internally. And definitely, they are going to support oil marketing companies on this aspect.

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So, I feel that it's a timing difference. Yes, on a quarter-to-quarter basis, there may be wide variation. But you will see very soon that some good announcement will be coming, and because government is seized of this matter. So, I cannot give any timelines absolutely on this regard, when it will come and how much. But definitely, the statement has been that the government is seized of this matter, and definitely, subsidy will be given to OMCs.

Sumeet Rohra: Sir, I will request you once again, please if this is the only thing which is basically affecting us. Otherwise, you guys are doing a splendid job. You are doing something which is exemplary. You have achieved excellent sales. You guys are doing a wonderful role for the country, for the people. But sir, also do something for your investors and shareholders, yes. Because ultimately, sir, today, you see all the OMCs are available at...

Anuj Jain: See, I will add only one thing. If you see the past 10 years' return, I have given, if you put together my capital appreciation and dividends, almost a return of 18%, and the other major company in the oil and gas sector has also given 18%. So, maybe on a quarter-to-quarter basis, my profitability gets affected. But if you see the long-term view about the company, our returns are not less than the other biggest private sector oil and gas company in the country.

So, I think, I want to emphasize on this point that please, whenever you see a national oil company like Indian Oil, we have been rewarding the shareholders. Maybe on a quarter-to-quarter basis, we may not be able to give you the exact expected returns. But over the years, we have given reasonable dividends, reasonable capital appreciation, good bonuses from time to time to get good returns to our stakeholders.

Sumeet Rohra: Yes. No sir, that point is absolutely taken, but your potential is to do much more. So, if these issues are addressed, you can be a far, far more precious company in terms of market cap. That's my only point which I want to highlight to you, sir.

Anuj Jain: I take this point very positively. Thank you very much.

Moderator: The next question is from the line of Vivekanand from AMBIT Capital. Please go ahead.

Vivekanand Subbaraman: My 2 questions, 1 of them is on Terra Clean Limited. Your fiscal '24 annual report mentions an investment plan of around INR 5,000 crores for establishment of 1 gigawatt renewable capacity. But sir, your target by fiscal '31 is 31 gigawatts. So, could you give us some more details on the roadmap to get to 31 gigawatts by FY '31, and the investment outlay needed? And thirdly, the business model on the renewable side? That is

my first question. I will ask the second one after you answer this.

Anuj Jain: See, you are fully on track that we have a target of 31 gigawatts. But only thing is we have a mix of organic and inorganic route to achieve that. We will be doing this capacity along with our JV partners also. And we will be also achieving this target through mergers and acquisitions. So, we have multiple strategies to achieve this. And Terra Clean is 100% subsidiary company of Indian Oil Corporation Limited

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Indian Oil, where the tender for 1 gigawatt is already out, okay? For another 4-gigawatt, work

is in progress.

We have also done a joint venture agreement with NTPC Green, and that is also going in a much faster way. So, we have multiple strategies to achieve this target. See, today, if you see, every company is starting its journey. So, we have already started this journey 2 years back, in fact. And we are on track to achieve our targets, both organically, inorganically, merger, acquisition, through JV companies in this manner.

I would say only broad numbers that 6 to 7 gigawatts would be done through our organic, another major portion will be coming through JV routes. First has already happened with NTPC. We have other MOUs signed with various renewable companies, and we are having discussion with them. And another 5 to 6 gigawatts will be happening through mergers and acquisitions.

Vivekanand Subbaraman: Right. This is very helpful, sir. Is there any intermediate target, let's say, next 2 years, 3 years in terms of capacity? Or if not, that's also fine.

Anuj Jain: No, we have a target for the 31 gigawatts only.

Vivekanand Subbaraman: My second question is after these refinery expansions, on an overall network, you will be at 88 MMTPA at a group level and your network throughput is around 92, 93 MMTPA. So, will you be further undertaking refinery CAPEX or is this the last stage of it?

Anuj Jain: See, as of now, these are the 3 major Board approved projects. But definitely, we will keep on scouting for any project if it gives me the desired returns, okay? You have seen other OMCs have also gone ahead with their new refineries. And we are also scouting for them, but only if we get the desired returns out of the new investments. But as on date, these are the 3 major expansions happening in the company.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh: It's a pleasure to listen to you and we would request you to continue this every quarter if you can. So, the first thought is if you're looking at your investments in refining and petrochemicals, what is your long-term target in terms of ROCE? And when do you think you will get a visibility on the improvement in refining margins and petrochemicals, since you're committing very large amount of CAPEX. So, if you can give your thoughts on that.

And then I would also like to have some insight in terms of the progress you are expecting in the stand-alone CGD geographic areas, and when you expect that CAPEX to generate positive EBITDA?

Anuj Jain: I have just answered that question that, see, as far as refinery expansions are coming, part income will start coming from '26-'27. And from '27-'28, hopefully, the major income will start coming back to the company on our investments done this...

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S. Ramesh: Sir, I understand that. What I'm trying to look at is from the perspective of investors, it has to generate a certain ROCE, which you have been delivering in the last few years. So, given the weak trends in margins, would like to know what is your reading of when you get the kind of margins required to generate, say, 12% to 15% ROCE. That's what one is trying to understand.

Anuj Jain: See, it's very difficult to predict the margins as

such, everybody knows that. See, but once you

can see over the long-term basis, refinery cracks go up and down. You have seen how since past 1 year; the cracks have come down. So, this is part and parcel of our industry where the margins sometimes go very high and sometimes the margins come down. So, if you see even the HSD crack has vis-a-vis '23-'24 is down by 50% in HSD itself. Same is the case with MS, okay? So, it keeps on fluctuating. Whenever we do any projects, we do a 3-year averaging, 5 years, 7 years. We see the 5 years. So, it keeps up and down. But definitely, all the projects what company does, definitely is above our cost of capital. So, that is a basic strategy of the company. All these expansions should happen, provided it gives me returns beyond my cost of capital.

So, I'm very optimistic that whenever these refineries will come, there will be some time where the margins will not be very high. Sometimes the margins will be very high. But on a long-term basis, since there's enough demand in the country, we should get reasonable returns on our investment.

S. Ramesh: Your thoughts on your CGD investments when you'll start seeing positive EBITDA? And you can also give us some insight around any plans to monetize any of your subsidiaries in green energy or the pipelines, that would be great.

Anuj Jain: IOC at present is having 26 GAs, and it is spread across India. And we have also 49 GAs along with our joint venture companies. So, we have a good exposure to the CGD business as on date.

Our total CAPEX on our GAs itself will be almost INR 20,000 crores. See, now as far as the profitability's of GAs are concerned, we expect that we will be becoming EBITDA positive in next financial year. Although the CAPEX will be spent over the next many years, the CAPEX is going to continue from up to September '34, but we will start becoming EBITDA positive from next year. And this is a growing business where we are focusing in a big way.

S. Ramesh: And any thoughts on monetizing your green energy subsidiary or pipelines or any other arm of

your business?

Anuj Jain: See, it will be too premature to commit anything over a con call, but definitely, we have seen other companies monetizing their investments in the green portfolio after achieving a minimum size. So, we are yet to achieve that size. So, as soon as we achieve that size, definitely, we would be seeing any opportunity in this regard. See, there are many things, there's a dual taxation concept, so there are GST issues. So, many issues are there before we take on that. But definitely, it is one of the long-term strategy for the company.

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S. Ramesh: So, my next question is the last question. So, in terms of your refinery modernization, can you give us a sense in terms of any benefits from residual upgradation? And any thoughts you have on your lube business?

Anuj Jain: See, lube business is one of the profitable business for any refining company. So, like J18 apart from the refining addition, it is also going to add my lubes LOB stock. So, we are adding pet-chem, we are adding lubes in the expansions. So, there's no definite answer to your query, but I would say any expansion which is happening is taking into account our additional need of base oils and additional feed for our petrochemical units.

S. Ramesh: And on any upside in gross refining margins from any bottoms upgradation you may be doing in your refinery expansion?

Anuj Jain: Yes, definitely. All the expansions are being done with the latest technology. So, the refining margins will go up, provided it will depend on the international cracks, which will prevail at that time.

S. Ramesh: Sir what is the yield improvement you can expect, based on the bottom's upgradation from the current yield?

Anuj Jain: See, if you see the Panipat, okay

, my yield upgradation is definitely going to happen. I can give you the data subsequent to that.

Moderator: Next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: So, I just wanted to check, firstly, what was the marketing inventory loss in 3 months and 9 months, if you can provide?

Anuj Jain: I have shared in the beginning itself, the Q3, the inventory losses put together, both crude and marketing were in the range of INR 5,200 crores.

Amit Murarka: Sure. And 9 months, if you could provide?

Anuj Jain: 9 months is almost INR 5,500 crores.

Amit Murarka: Got it. And sorry, I joined the call a little late. Have you also provided the CAPEX for '25 and '26?

Anuj Jain: Yes, I have shared CAPEX for '25-'26. INR 33,000 crores. So, the CAPEX would be INR 33,000 crores.

Amit Murarka: In '26, FY '26?

Anuj Jain: Yes, next year.

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Amit Murarka: Sure. Also, on pet-chem side, I think some discussion has already happened. But just checking like given that there is so much of a drag in the spreads that you are seeing for quite some time and it seems more structural now, have you given any thought when you are evaluating pet-chem expansions in your new refineries? What kind of assumptions you're doing like taking when you build in IRR for such projects? I just wanted to understand that as well.

Anuj Jain: See, we understand that pet-chem margin is a cyclical trend, okay? But one thing is for sure that there's a huge demand in India. A lot of imports are happening in India. Pet-chem sector is expected to grow by 11% to 12% per annum, okay? Today, it is \$51 billion. In '21, it will become double, \$200 billion in '27. And by 2040, it is expected to touch \$400 billion. So, there's a huge potential of petrochemicals in the country. Lot of imports are happening. So, definitely, we are investing a lot of our CAPEX in pet-chem cycle, and we hope that there may be some cycles where the earnings will come down. But definitely, from time to time in the past, we have seen we get reasonably good margins in pet-chem. So, this is a long-term strategy of the company.

Amit Murarka: Got it. No, I agree with you on the demand side. I was only wondering that simply because like we are doing naphtha-based pet-chem, which frankly is a higher cost feedstock now, compared to ethane. So, what kind of assumptions you are taking basically on the spreads, simply because it's also a structural issue, while it is cyclical, but the ethane to naphtha is a structural issue. So, I'm not so sure of the other recovery of margins going back to older levels. So, I just wanted to understand, therefore that, what kind of assumptions you are taking when you're doing IRR for these projects?

Anuj Jain: See, if you understand, we have 10 refineries, and we have lot of excess naphtha in our system. So, instead of exporting it, it is much better to use that naphtha to have a naphtha-based cracker in our system. But we are not averse to have an alternate cracking also, like ethane-based, that can also be done. But for us, for a refining company, naphtha crack is a very good option with us actually.

Moderator: The next question is from the line of Vikash Jain from CLSA. Please go ahead.

Vikash Jain: This is coming back to Russian crude. So, the question was, say after these sanctions, you did mention that 9 months, 25% of the crude intake is Russian crude. After this sanction in FY '26, where do you see this number settling down? Could it be far lower? Could it be sub -10% kind of Russian crude, based on whatever you can see at this point of time?

Anuj Jain: See, it will be very difficult to give any specific percentage. But one thing is what we are witnessing is we are getting the impact as on date, because of the new sanctions. But it takes time. Whenever the ne

w sanctions come, it takes some time for the entire oil and gas industry to stabilize.

So, if you ask me today in Jan '25, whether I got impacted, I would say yes. But definitely, I had a past contract. So, for Jan and Feb, we have a reasonable intake. For the month of March, yes, Indian Oil Corporation Limited
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whatever I thought it is not going to come in the same quantity. But what will happen in the April, May, June onwards, because as such, Russian crude is not sanctioned. If you see only the 2 entities have been sanctioned and a few vessels have been sanctioned.

So, as such, there is no total debar on the Russian crude. So, we are expecting that Russian crude is going to come. But definitely, we will only buy if it comes at a reasonable discount to us vis-a-vis my other procurement, because whenever we procure Russian crude, it is coming in the small-sized vessels. And whenever we buy crude from the Middle East or others, it is coming in a very VLCC sort of tankers. So, the freight advantage sometimes overweighs my other discounts. So, we will see on month-to-month basis, how we will be able to buy it.

Vikash Jain: So, sir, I think the discount right now is about \$3 or so, right? So, that is a landed discount adjusted for the fact that you are using a less efficient vessel and all of those things. That is when we say \$3 or so discount, that's what is landed in India, right? We are comparing it to landed basis, right?

Anuj Jain: But even the \$3 has come down to \$2 now.

Vikash Jain: And so, if you were to adjust for the quality, anyway Russian crude required needs to be at a discount or used to be at a discount, say, before at about \$1, \$1.5, right? So, I mean, if it comes down to sub-\$2, then automatically it becomes less attractive. Isn't that the case?

Anuj Jain: See, we have a very, very robust, I think, biggest optimization package in Indian Oil, where we have configured 10 refineries, 30,000 kilometers worth of pipelines, all other marketing installations, what they can produce, when to produce, what is the demand, from where the product will come, at what price, what tank, DAP, FOB. So, we have all the factors we factor in. And we have a very good optimization package, which comes out what is the most optimum crude to be bought at what time. So, whether it is X, Y, Z, all crudes for us are equal. Some quality parameters will be different. So, it will get an advantage in our package. If it is not having a good quality, it will, in any case, get valued accordingly. So, it's a very detailed exercise what we are doing day in, day out.

Moderator: Ladies and gentlemen, that was the last question for today's call. I now hand the conference over to the Management for closing comments.

Prabhat Himatsingka: Yes. Thank you, everyone. Thank you to all the investors and analysts for joining the call.

Anuj Jain: I also want to thank everyone. I will say that despite the global headwinds inflicted by global inflation, ongoing Russia-Ukraine conflict, weakness in other major economies, and the U.S. presidential elections, weakening domestic currency against U.S. D, Indian Oil has still performed exceptionally, stood tall, and given reasonably good results in quarter 3, despite facing inventory losses and exchange losses.

Thank you. I will end my briefing here.

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Moderator: On behalf of Indian Oil Corporation Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Indian Oil Corporation Limited
Results Conference Call"
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MANAGEMENT : MR. ANUJ JAIN – DIRECTOR FINANCE – INDIAN OIL CORPORATION LIMITED
MR. R.V.N. VISHWESHWAR – EXECUTIVE DIRECTOR ,
CORPORATE FINANCE AND TREASURY – INDIAN OIL CORPORATION LIMITED
MR. PRAMOD JAIN – CHIEF GENERAL MANAGER
TREASURY – INDIAN OIL CORPORATION LIMITED
MR. PRABHAT HIMATSINGKA – CHIEF GENERAL
MANAGER , FINANCE & TREASURY – INDIAN OIL CORPORATION LIMITED

MODERATOR : MR. VARATHARAJAN SIVASANKARAN – ANTIQUE STOCK BROKING LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Indian Oil Corporation Limited Results Con Call hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Varatharajan Sivasankaran from Antique Stock Broking Limited. Thank you, and over to you, sir.

Varatharajan S : Thanks Alaric. Good afternoon, everyone. It's my pleasure to extend a very warm welcome to all the participants and the management of IOCL for this call. We have with us from the management of IOCL, Mr. Anuj Jain, Director Finance; Mr. R.V.N. Vishweshwar, ED, Corporate Finance and Treasury; Mr. Pramod Jain, CGM Treasury; and Mr. Prabhat Himatsingka, CGM, Finance & Treasury. Request the management to give an opening remark, and then we can move on to Q&A. The floor is yours, Mr. Anuj Jain.

Anuj Jain : Thank you. Dear investors and analysts, a very good afternoon to all of you. I take this opportunity to welcome all of you to the conference call organized by us, post announcement of the fourth quarter and annual results of the financial year '24, '25. I thank each one of you for joining the call. I believe you would have gone through the accounts hosted on the website and also through the updates received by most of you.

I would like to briefly dwell on the results to provide additional clarity and insights. This quarter, we have registered a profit after tax of INR7,265 crores which was INR2,874 crores in the preceding quarter and INR4,838 crores in the corresponding quarter of financial year '24. On a year-on-year basis, the profit after tax for financial year '24, '25 is INR12,962 crores as against the profit after tax of INR39,619 crores for the financial year '23 '24. Revenue from operations during this quarter is INR217,725 crores as against INR216,649 crores in the preceding quarter of this year.

The revenues for the corresponding quarter of financial year '23, '24 was INR219,876 crores. On a year-on-year basis, the revenue from operations during the financial year, '24, '25 is INR845,513 crores as against the revenue from operation of INR 866,345 crores in financial year '23, '24. This year, we witnessed many challenges and volatility.

I am proud to share that despite the headwinds, Indian Oil pulled off a strong operational and financial performance, registering historically highest sales volumes, historically highest pipeline throughput and one of the best distillate yield levels. This reflects the strength of our operational model, the efficiency of our distribution network. These are the broad highlights of

the results of the company.

Now I will request ED, Corporate Finance and Treasury, Shri, R.V.N. Vishweshwar to take this call forward.

R. V. N. Vishweshwar : Thank you, sir. Participants are advised to refer to the company's latest filings with the regulatory authorities for a more detailed discussion on the risks and uncertainties . And kindly note that

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today's discussion may include forward -looking statements, which are based on currently available information, assumptions and expectations and are subject to uncertainties that could cause actual results, performance or achievements to differ materially from those expressed or implied. The global macroeconomic environment in financial year '24, '25 was marked by significant challenges and volatility. Persistent geopolitical tensions, particularly in the Middle East and Eastern Europe, led to supply chain

disruptions and heightened energy security concerns.

Inflation remained stubbornly high across several economies, even as growth slowed markedly in China and Europe. The imposition of tariffs and trade measures by the US added another layer of complexity to the global commerce. Although the depreciation of Indian Rupee against the US Dollar has been 2.48% during the year, against the 10 -year average of 3.36%, the currency volatility during the year was pronounced, with USD INR experiencing significant fluctuations during the year.

We witnessed Rupee reaching historic low levels. However, the Rupee showed resilience and appreciated towards the latter part of the fiscal. In the US, despite the Federal Reserve initiating rate cuts, long -term yields remained elevated, reflecting market caution .

In contrast, Indian GSEC rates moderated, supported by controlled inflation and strong macro - fundamentals. India's GDP growth outlook for FY25 -26 has been revised downward due to global uncertainties. The World Bank forecasts 6.3% down from 6.7%, the IMF projects 6.2% down from 6.5% and the Reserve Bank of India has lowered its estimate to 6.5% from 6.7%. Various economic data points and projections by domestic and international agencies indicate robust energy demand in our country and continued importance of petroleum products to meet the increasing energy demand. Being the country's largest oil refining & marketing company, Indian Oil is committed and steadfast in ensuring energy availability across the length and breadth of the nation at affordable cost.

Indian Oil has ambition to increase its share in the national energy basket from 9% to 12.5% by the year 2050 in alignment with the anticipated doubling of the country's overall energy demand. This transformation will be anchored in a balanced portfolio that continues to leverage the strength of the conventional fuels while expanding decisively into cleaner, more sustainable energy vectors.

Indian Oil is making high -impact infrastructure investments in expanding the refining capacity from 80.8 million metric tons per annum to 9.8 mmtpa by '26, '27 coupled with matching investments in marketing and pipeline infrastructure.

While reinforcing the conventional energy strengths, Indian Oil is also making targeted investments in sustainable and future -ready energy pathways. A key enabler for this transition is a wholly owned green subsidiary, Terra Clean Limited which is spear heading our green ventures.

Indian Oil Board has already accorded approval for implementation of 5.3 gigawatt of RE projects through Terra Clean Limited. Complementing this are our concurrent efforts to scale up

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electric mobility infrastructure, including the rollout of EV charging and battery swapping stations, harnessing natural gas, CBG, biofuels, green hydrogen, including hydrogen mobility pathways. The upcoming 10 KT A green hydrogen plant at Panipat and India's first commercial scale sustainable aviation fuel plant underscore Indian Oil's leadership in green energy.

Now let me just briefly touch upon the quarterly performance facts . Talking about the numbers.

The average price of crude in the basket during this quarter was at \$76.77 per barrel, an increase of about 3.9% from the average price of the immediate preceding quarter, that is quarter 3.

If you compare on a corresponding quarter basis, that is \$81.6 per barrel in quarter 4 2024, there is a reduction of around 6%. Various geopolitical factors starting from the imposition of tariffs by the U.S. government, rising U.S. inventories OPEC production adjustments have contributed in cooling the crude oil prices. With respect to the crack spreads, dollar per barrel for the Indian

basket, during quarter 4, , FY '25. MS cracks has largely remained in line with the previous quarter, which was \$3.11

versus \$3.29 in the previous quarter.

Cracks are lower than the corresponding quarter of FY '24, that is \$7.81 per barrel. For HSD the crack spreads during this quarter was at \$11.33 have remained lower than the preceding quarter, which was at \$12.19. The cracks were also lower than the corresponding quarter of FY '24, which was at \$17.46.

In the petrochemical space, the spreads in terms of dollar per metric ton in major products continued to be suppressed during the year. On a year-on-year basis, the spreads of polymers have remained similar. The spreads for PTA has witnessed a sharp decline and the spreads of MEG, while has improved marginally, but continues to be negative. The weak global economic outlook and new capacities continue to weigh high on the petrochemical price globally.

Now let me briefly touch upon the major verticals. Refineries. The throughput during the quarter was 18.5 MMT, with a capacity utilization of 107.1%, which is higher than the preceding quarter, which is at 18.1 MMT and a capacity utilization of 102.3%. And also higher than the corresponding quarter FY '24, which was at 18.3 MMT at a capacity utilization of 104.5%.

The distillate yield was at 79.7% during the quarter, which is slightly lower as compared to the previous quarter, 82.2%. But better than the corresponding quarter of FY '24, which was 77.5%. Fuel and loss during this quarter was 8.6% whereas during the preceding quarter, it was 8.7%. Our refineries have registered a GRM of \$7.85 per barrel during this quarter as compared to \$2.95 per barrel during the previous quarter.

Overall, on the year-wise, GRM for FY '25 was \$4.80 per barrel as against \$12.05 per barrel during the previous year. The normalized GRMs after stripping off inventory impacts and factoring price lags for the quarter is \$5.39 per barrel as against \$6.60 per barrel in the previous quarter.

For the full financial year, the normalized GRM for FY '25 is \$4.53 per barrel as against \$11.44 per barrel in FY '24. A decline in crack spreads, which is also reflected in benchmark Singapore GRM has been the main reason behind this falling GRM.

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Now coming to pipelines. The capacity utilization was about 73% during this quarter as compared to 69.6% in the previous quarter. Indian Oil's cross-country pipelines achieved throughput of 100.5 MMT during '24, '25 this year and by crossing 100 MMT milestone achieved the highest-ever recorded throughput this year. Pipeline throughput during the quarter 4 '24, '25 is 25.8 MMT vis-a-vis 24.9 MMT in quarter 3 of '24, '25.

During the year, the company has further expanded its pipeline network by 260 kilometers, taking Indian Oil's total pipeline network to above 20,000 kilometers, which accounts for more than 50% of the total pipeline network of the country. The largest pipeline network provides strategic access to the market and helps reduce the cost of placement of products.

Marketing. Indian Oil achieved the highest ever sales volume of 100.29 MMT during the year in all segments. That is petroleum, petrochemicals and gas crossing the 100 MMT milestone for the first time. Corresponding sales volume during the previous year was 97.5 MMT.

Sale of petroleum products during quarter 4 of '24, '25 is 23.19 MMT which is slightly lower as compared to 23.38 MMT in the previous quarter. However, sales were higher than the corresponding quarter of FY '23, '24, which was 22.79 MMT. For the financial year, sales of petroleum products improved. That is 89.80 MMT in '24, '25 vis-a-vis 88.45 MMT in the previous year.

Petrochemicals. The sale of petrochemical products during this quarter was 0.83 MMT as compared to 0.89 MMT in the preceding quarter and sales for Q4 2024 0.818 MMT. For the full financial year, petchem sales were 3.236 MMT were more than the sales recorded in FY '24 which was a

3.063 MMT.

Capex. During FY '24, '25, the company incurred a total capex of INR 37,557 crores encompassing investments across all verticals. These investments are aligned with our long-term strategic road map and national energy priorities. For FY '25, '26, the budgeted capex is INR33,494 crores. Going forward, as the large-scale refining projects mature, we expect a tapering of expense in conventional sources and significant shift in capex allocation towards petrochemicals and alternate energy segments, where we are placing high strategic bets.

Borrowings. With respect to the borrowing levels, the borrowings as on 31st March '25 has increased by about INR18,000 crores on a year-on-year basis. and is at INR 1,34,466 crores level as compared to INR1,16,496 crores as on 31 March 2024. The increase in borrowings is mainly on account of ongoing capex.

On a quarter -on-quarter basis, there has been an increase over INR3,000 crore as compared to previous quarter. The increase is mainly attributable to year -end duties and taxes. With the current debt -to-equity ratio of 0.75 as on 31 March '25, Indian Oil is comfortably placed to fund the ongoing capex plans.

With this, I'll pause here, and I'll request Director Finance for further remarks.

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Anuj Jain: Thank you Vishweshwar. Friends, as we move forward into financial year '25, '26, our focus remains on operational excellence , prudent capital allocation and strategic investments that has strengthened our existing business and also position us to lead in the evolving energy landscape. I would like to thank our shareholders, employees, partners and stakeholders for their continued trust and support. We are confident in our ability to deliver sustainable value even amidst a dynamic external environment.

Now I will end my briefing here. We will now be open to take your questions. Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen : Thank you for the opportunity and thank you for hosting this call, sir. Just a couple of questions.

Firstly, on the refining business. It's very clear that if you normalize it for inventory, the GRMs actually declined a bit but just wanted to understand what was the contribution of Russian crude in overall sourcing in this quarter? And what is it so far in the first quarter of FY '26?

Management: See, as far as Russian crude is concerned, we had imported 22% in '24, '25 for the full financial year. Although in the fourth quarter, it came down. It came down to almost 14%. But for the full financial year, it was 22%.

Probal Sen : And have we seen an improvement in these numbers in this first quarter, sir, with the prices going down?

Management: We have again seen the increase in the Russian crude availability, and we are hopeful that this year, in '25, '26, we should be touching around 24%, 25%.

Probal Sen : Okay. The second question was with respect to the capital allocation plans that you mentioned about , the shift that is being driven to petrochemicals and renewables. In petrochemicals, however, what we have been seeing consistently over the last few years is that there just doesn't seem to be a shift to sustainable margins at least for -- from what we can tell.

So how do you really look at the petrochemical margin environment? And what gives us the confidence that margins will actually improve enough that we can start making reasonable returns, given that our focus is increasingly shifting to the petrochemical segment for the next 5 years.

Management: You must have seen our figures. Today, my petrochemical intensity is around 6%, which we want to increase to 15% by 2030 in the next 5 years. Already, we have announced the projects to achieve these targets. As far as margin

s are concerned, yes, margins are down, but it is a cyclical industry. And we understand that the cycle will come back. We can't give any specific timeline, but the cycle is expected to turn around in the next 2 to 3 years. So the pet chem margins should also improve by the time our new projects come up .

Probal Sen : If I will be permitted, sir, let me ask it another way. If I can get a sense, what are the gross margins on a dollar per ton basis that we are seeing in our business today? And what is the kind

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of level we sort of would need for these investments to be profitable ? If you can give us a sense on that.

Management: See, all these are integrated assets . Whatever inputs are coming to these assets, Naphtha or whatever it is coming from existing stream. On an integrated basis, we -- see, we have 2 things.

One is the cracks of the existing products and the cracks on the polymers, glycols, and LAB and PX/PTA . So today, the cracks on the petchem products are coming down , although on the refining side, the cracks are still okay.

Even on the petchem side, you see cracks on polymers are okay, but PTA and glycols the margins are quite down. So as I said in the beginning, we don't have any specific numbers, but because it's a basket of many things , which makes things positive. So today, the petrochemical margins are down, but we expect that it will come back.

Probal Sen : Thank you so much for the answers. I will come back if I have more.

Moderator: Thank you. The next question comes from the line of Sumeet Rohra from Smartsun Capital. Please go ahead.

Sumeet Rohra : Sir, just a couple of questions. First, if you can -- firstly, your performance has been very commendable. So congratulations on that. You guys have done a very, very good performance in a very challenging environment. Sir, I'm just looking at overall profitability rather than on any quarter because the thing is that if we see that we reported approximately a profit of about INR13,000 crores, and this is after absorbing the LPG under recovery, which is of INR19,000 crores, INR20,000 crores.

No, sir, of course, LPG is a controlled product and the government will compensate you on that. So sorry, can you please throw some idea on when we could receive the LPG money? And sir, secondly, you spoke about capex coming down from INR37 million to about INR33 million, INR34 million. Now sir, the matter of fact is that we always speak on capex. But can you also talk a little bit on earnings momentum?

Because over the last couple of financial years, you have -- all of you have done very well so can we just get a sense on how do you expect earnings to shape up in the current year? Because now crude is also in our favor, right? I mean it's below \$70 on a sustained -- hopefully, on a sustainable basis. So sir, can you please talk a little bit about how do you see profitability shaping up in a conducive environment of crude?

My second question, sir, is on the retail outlets. So how many retail outlets do we have currently? And how many have we added and how many do you plan to add? And my last question, sir, is on GRM. So do you expect -- I mean, what do you expect in sustainable GRM scenario for the current year, sir?

Management: Okay. Sumeet, I will take your question one by one. The first question was regarding the overall profitability for the year '24, '25. See, as you have said that we have given a very good profitability. As far as the LPG under recovery is concerned, you must have seen that we have -

- we are continuously engaging with the government. And we are hopeful that our continuous Indian Oil Corporation Limited

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engagement with the government will give us positive results. The time and the quantum is not known, but it all depends upon many factors, geopolitical factors, other

things which keep on

affecting the oil marketing companies.

As far as your second question is concerned regarding the next year's profitability or margin scenario. See, our profitability consists of 3 or 4 factors. One is the refining margins, which, as of today, is looking good. If you see on a day-to-day basis, the margins have come down drastically from '23, '24, but the margins are still reasonably okay.

Marketing margins are positive and third is the pet-chem margins which are a little bit tightened up, but we think that the pet-chem margins will remain constrained in the coming quarters, but not for all the segments. For a few segments in pet-chem, it will be a constraint.

So as far as '25, '26 is concerned, we hope that it should be a good year for the oil marketing companies and Indian Oil to be in particular. And as far as the third question is concerned, let's come to the GRM. So see, the GRM, if you see, the fourth quarter GRM is 7.85.

And even after normalizing, it is a reasonable margin for the company. We expect refining margins to be pretty good for us going forward in this year. Now coming to the specific fourth question on the number of ROs. See, we have close to 40,000 retail outlets. And we plan to add almost 3,000 to 4,000 ROs in the current financial year.

If you see 31st March, we had almost 40,221 retail outlets. So we plan to add another 3,000 to 4,000 in the current year.

Moderator: The next question comes from the line of Yogesh Patil from Dolat Capital.

Yogesh Patil: And congratulations for the good set of numbers, sir. Sir, I wanted to check, is there any oil products inventory gains during the quarter? And I also wanted to know your gross marketing margins on other oil products, excluding petrol diesel and LPG was it better during the quarter compared to the last quarter?

Management: See, yes, in the quarter 4, we had inventory gain, and that has helped us to report better numbers this year. As far as your second question is concerned, whether the margins on other marketing products other than MS, HSD, ATF are concerned, yes, the margins were better in the quarter 4 vis-a-vis earlier quarters.

Yogesh Patil: Sir, could you please share the inventory gains on the oil product side, if you have any number handy?

Management: See, as I told you that we had inventory gains. And other products, see, we don't calculate inventory gains on product-by-product basis. It's a consolidated figures. But the margins have improved for other products.

Yogesh Patil: Sir, my second question is related to our refinery expansion plans, Panipat, Koyali, Barauni can you provide us a physical completion commissioning time line? And if you can give us some Indian Oil Corporation Limited

idea about the actual earnings growth from these 3 incremental refining capacities that would be helpful?

Management: See, if you see in Panipat we are adding 10 MMTPA. We are going from 15 to 25. In Gujarat, we are going from 13.7 to 18, which will add another 4.3 MMTPA. And Barauni we are going from 6 to 9. So we are going to add another 3. So we are adding almost, you can say, 18 MMTPA in our system, okay?

Now as far as commissionings are concerned, both Panipat and Gujarat are expected to come in the fourth quarter of '25, '26. And it will mostly stabilize in '26, '27. As Barauni is concerned, it is expected to come in the first quarter or second quarter of '26, '27. Today, all the refineries have already achieved a physical progress of more than 80%.

So we are going in a very good targeted speed to achieve the targeted commissioning dates. And the expected revenue from all the new commissioning would definitely depend upon the refining margins prevailing at that point of time. So I would say that whatever refining margins would be there, they will certainly support the returns on investment from these projects.

Yogesh Patil: And sir, lastly, can we expect any overall GRM improvement due to the incremental capacity addition in all these 3 refineries?

Management: Yes, definitely. Whatever the refinery expansion, whatever extra throughput I will earn, it will definitely add to my refining margins in absolute numbers.

Yogesh Patil: And lastly, sir, post completion of incremental refining and the petrochemical capex, what would be the peak net debt -to-EBITDA ratio? Any ballpark number you have in mind?

Management: It will be very difficult to quantify in EBITDA percentage terms. But see, today, I'm at 70 MMTPA. And if I am adding another 18 in my system. So it will become 88, 89. And then we have CPCL also with us. So all put together, my refining capacity will go beyond 100 MMTPA.

Moderator: The next question comes from the line of Sabri Hazarika from Emkay Global Financial Services.

Sabri Hazarika: Sir, 2 questions. First one is on the inventory side only. So I just wanted a number, I think last year, INR1,686 crores was the total inventory gain for the company. So versus that in FY '25, what would be the number FY24 number INR1,686 crores?

Management: See, as far as my full financial year is concerned, still had an inventory loss.

Sabri Hazarika: Yes. And how much would it be?

Management: Quarter 4 I had inventory gain but on the full year, I still had inventory loss.

Sabri Hazarika: And what would be the figure?

Management: Some figures -- I'm just giving you indicative figures that in '23, '24 for the financial year, we had an inventory gain so this was the figures. But yes, in Q4, we had an inventory gain, but on a yearly basis, we still have inventory loss.

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Sabri Hazarika: Yes. But any ballpark number because it is a reported figure because you have been giving it, I think. So that's why I'm asking?

Management: We have already shared these numbers. You can see from one of our statements which we have given.

Sabri Hazarika: Okay, sir. Okay. Fair enough. And secondly, on the project side only. So you mentioned about the refinery expansions so all these expansions have got polypropylene you need also sir that would also be simultaneously commissioned or that could be later, actually?

Management: Let me see. Polypropylene is coming. It is independent of this. And see, as I said in the beginning also, apart from the refining expansion, we are also targeting the Petchem expansion going forward. And I gave the numbers also. From 6% Petchem intensity, we will reach 15%.

Sabri Hazarika: I can understand. I mean the polypropylene unit commissioning will also be at the same time that you gave regarding the refinery expansion or that will afterwards?

Management: Yes. Commissioning over 2 months here and there, it will be happening at the same time.

Sabri Hazarika: Okay. Fair enough. And regarding some other projects, so you have that acrylic project in Gujarat. When is that expected to commission? And what about the Paradip refinery PX-PTA project, what is the timeline for those 2?

Management: As far as that is concerned, Oxo Alcohol Project in Gujarat is expected to commission in -- it is already commissioned. Oxo Alcohol Project in Gujarat, it is commissioned in the month of May.

Sabri Hazarika: May, right. And PX-PTA of Paradip refinery.

Management: PX-PTA will be in April '26.

Sabri Hazarika: April 2026, right. And beyond that, we have got this big Paradip Petchem complex, which you have signed an MOE. I think the Stage 1 approval was done, INR61,000 crores. So what is the

timeline for that actually ? So I think Stage 2 approval is still pending, but any timeline you want to give for that?

Management: See, Stage 1 was given in the '23 -- March '23 and the approximate cost is INR61,000 crores. And the commissioning schedule, what we have is approxi-

mately 54 months from the date of

investment approval. So it is too early to say, but yes, it will take 4.5 years from '23. So somewhere around '29, '30, it will happen.

Sabri Hazarika : Okay, sir. And beyond this, there is no other Petrochemical project major ones, right, other than this?

Management: See, recently, we have -- as a Board, we are discussing a few of the projects. But definitely, a few of the new announcements you will hear very soon, because we have another polypropylene unit at Barauni coming in '26 -'27. Then we all have polypropylene units in the expansion category. Then we have PX -PTA Paradip, which is coming almost for INR14,000 crores in end

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of this financial year '25 -'26. And then we have another 2, 3 projects of polybutadiene rubber which is coming in '26 -'27.

Sabri Hazarika : This is the Panipat one, right? The Styrene Monomer, right? That's what you're talking about?

Management: Yes.

Sabri Hazarika: Okay. FY '27.

Management: But we have few other projects coming very soon, you will soon be hearing a few new expansions in Petchem.

Sabri Hazarika : Okay. Some more announcements will come you are saying, right?

Management: Yes.

Sabri Hazarika: And on pipeline, any -- that Ennore Tuticorin, that is largely ready or that is also some part is pending right now?

Management: Which one?

Sabri Hazarika : The Ennore Tuticorin, that big pipeline project in Tamil Nadu?

Management: I think it is completed.

Sabri Hazarika : It is also completed, fully connected, right?

Management: Yes.

Moderator: The next question comes from the line of Achal Shah from Ambit Capital.

Achal Shah : Sir, I just wanted to know, so what is the current under recovery per cylinder? And what is the future outlook? Like do you feel this under recovery will continue after the INR50 price hike?

Management: See, it keep on changing, but today, it is around INR170 per cylinder.

Moderator: The next question comes from the line of Nitin Tiwari from PhillipCapital.

Nitin Tiwari : Sir, my first question is with regards to capex. If you can help us with a breakup of the capex between different segments for FY '25 as well as FY '26, the projections that you've given?

Management: As far as the capex is concerned, we are targeting INR 34,000 crores in '25 -'26. And if you see refining and pipelines put together, it should be somewhere around INR 17,000 crores. So almost 50% will go towards the refining and pipeline and remaining will be on marketing segments, Petchem and other investments what we have announced.

Nitin Tiwari : So any specifics that you can provide please in terms of how much in Petchem, how much is marketing and CGD as well?

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Management: See, on a ballpark figure, I would say, we will spend around INR7,000 crores to INR8,000 crores in marketing. And Petchem, we should be spending around INR3,000 crores.

Nitin Tiwari : And in CGD, sir?

Management: CGD is basically, we are doing a lot through joint venture companies and it should be somewhere around INR500 crores.

Nitin Tiwari : And FY '25 capex would be in similar ballpark what you indicated for '26, '25 would be similar? Or if you can give us some specifics around about '25 as well?

Management: We have the firm plans for '25 -'26 as on date. '26 -'27 should be also...

Nitin Tiwari : No, I was referring to the already -- the year already gone by FY '25, '24 -'25. If you can give us a breakup in terms of how much you spend in each segment.

Management: See, '24 -'25, we have spent almost INR38,000 crores in that.

Nitin Tiwari : Right. And how much of that was in refining?

Management: Refining and pipelines put together was almost INR20,000 crores.

Nitin Tiwari : And sir, out of this INR20,000 crores, how much was expansion capex and h

ow much was
regular maintenance?

Management: It is very difficult to say . But mostly, we are spending maximum money nowadays on the expansion.

Nitin Tiwari : Okay, sir. And sir, my next question was related to Petrochemical. I think one of the participants also asked on a similar line. So just wanted to understand that are we breaking even in Petrochemical, if we look at in pre -depreciation terms? Are we like EBITDA positive in Petrochemical or we are EBITDA negative as well? Because EBIT number is something which you have given out in your press release. I was wondering if like we are EBITDA positive or not?

Management: No, we are definitely EBITDA positive in Petchem.

Nitin Tiwari : So we've reported about INR200 crores of loss at EBIT level in Petchem. So what would be the EBITDA number roughly, sir ? Or if you can represent the depreciation number. So sir, we have a ballpark understanding of where we lie in terms of Petrochemical margins.

Management: See, we would be EBITDA positive INR1,000 crores for '24 -'25.

Nitin Tiwari : Petchem EBITDA is around INR1,000 crores is what you're saying , right?

Management: Yes.

Nitin Tiwari: Those will be two. If I may ask one more. Crude oil prices have corrected quite meaningfully.

So is it the right understanding that that will help release some amount of working capital, if you

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can give us an indicative number s how much of debt reduction could happen if our working capital goes down and because if crude remains where it is?

Management: See, definitely, reduction in crude oil prices helps us to reduce our working capital , definitely.

But definitely, it should be in the range of maybe INR10,000 crores it will help us . If the reduction is as high as what we are seeing today, by \$10 per barrel, then it should be around INR10,000 crores.

Nitin Tiwari : I mean you're saying that \$10 per barrel would roughly lead to a INR10,000 crores saving in working capital and accordingly a reduction in debt, right ?

Management: Yes.

Moderator: The next question comes from the line of Ritik Jain from Nirmal Bang .

Ritik Jain: Yes, sir. Congratulations for a good set of numbers. My first question is on the sales volume of CGD gas in 4Q FY '25 and FY '25?

Management: See, as far as numbers of CGD is concerned, we are becoming better day by day. Out of 26 GAs already 6 GAs have become EBITDA positive. And by next year, we hope that we will have another 7 to 8 GAs which will be becoming EBITDA positive. As far as sales are concerned I had a sales of almost 115 TMT of CGD.

Ritik Jain: In Q4 FY25?

Management: Yes, '24, '25 yes. .

Ritik Jain: So this is for full financial year, sir?

Management: Yes.

Ritik Jain: And the outlook for sales volume and EBITDA per SCM for FY '26, sir?

Management: As I shared with you just now that we will be becoming EBITDA positive for further GAs. And on an overall segment basis also, we will be EBITDA positive from next year..

Ritik Jain: Okay. And what was the reason for the decline from gas segment EBIT in Q4 FY '25?

Management: I don't think we had a negative -- gas profitability has gone up significantly. We have witnessed almost a 50% jump in the profitability from the gas segment this year.

Ritik Jain: I will come back in the queue if there is any questions.

Moderator: Thank you. The next question comes from the line of Sumeet Rohra from Smartsun Capital.

Please go ahead.

Sumeet Rohra: Hi, sir. Thanks for the opportunity. Sir, just a couple of things. I was basically just wondering from now from an investor point of view that our dividend payout in absolute number of rupees

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has been lower this year because of the LPG under recovery money that we've not received which has hampered profitability.

So sir, is it safe to assume that when --

once you get the LPG under recovery from the government, investors can expect a dividend payout which was similar to FY '24 levels? Because anyway, 53% of the one money goes back to the government itself. So can we expect that?

And sir, secondly, on the LPG part as well, if I remember the honorable oil minister had

mentioned that prices will be reviewed on a 30 -day basis or slightly lower on a fortnightly basis. So do you get the early sense that we could be entering an era of LP G prices could be market aligned and then eventually decontrol. Any thoughts on that, sir?

Management: Yes. As far as the dividend is concerned. In the past 10 years, you would have seen Indian Oil is one company which has always been giving very reasonable dividends to all its stakeholders. So in the last year, since the profitability was very good we declared a very high dividend. This year, based on my profitability, I've again given a reasonable dividend to the shareholders. As far as second question is concerned about your LPG under recovery, I don't have a specific answer that what would be the government policy on that. But definitely, we keep engaged with the government to monitor our LPG prices.

Sumeet Rohra: No, sir, because the only reason why I ask this is because since it's a controlled product and we are basically -- so it's kind of not a sustainable model where we keep bearing the LPG board in. So that's exactly why I was thinking on those grounds?

Management: No, your concern is well noticed and we have been continuously, all the oil marketing company gets engaged with the government to see what would be the quantity and quantum and timing to get these under recoveries. .

Sumeet Rohra: Okay. Sure, sir. Thank you so much.

Moderator: Thank you. The next question comes from the line of Yogesh Patil from Dolat Capital. Please go ahead.

Yogesh Patil: Thanks for taking my question sir again. Sir, as per the latest news flow, U.S. crude imports have gone up for the India. Just wanted to understand how much quantity of U.S. crude IOCL can process considering economic benefits SMEs?

Management: See, yes, you are true that in '23, '24, we almost process 4% crude vis -a-vis 9% what we did in '24-'25. But it is absolutely on an economic basis. As a system, we don't have any targets to process any specific crudes. For us, any crude is equivalent depending upon the price at which it is available to us.

So on an optimization level, whatever crude enter through tendering system, it is being procured by the company. So we don't have any specific targets for any type of crude in the system.

Yogesh Patil: And sir, just wanted to understand landed basis, what is the benefit or discounts if we get U.S. crude imports. Any ballpark number if you could share?

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Management: See, this is what I said that no crude is having any benefit to us. Any crude which comes in has to justify on the basis of the best crude available on that particular day to us. So once we come out with the offers, many people compete with each other whether it is West African crude, Middle Eastern or U.S. . So it has to compete and then come into our system. So --as long as it is not beneficial to us, we don't procure anything.

Yogesh Patil: Sir, lastly, considering the capex run rate of INR33,000 crores, INR34,000 crores per annum for next few years and a reasonable dividend payout. What should be the minimum marketing margins on the -- mostly on the petrol and diesel side? Have you calculated anything that should be the minimum so that the capex can be funded through the internal cash flows and the early dividends would be there. So any number, ballpark number which you can share?

Management: See, you have to understand all the companies working on an RTP basis. See, for the marketing -- even the marketing group of ours, they procure the

goods on RTP basis from our own refinery.

Whether we process the crude from our own refining system, marketing will have to earn its own marketing margin.

And there is a structured system for incorporating the marketing margins in our pricing. So if the prices remain what is today, we should be having a reasonable marketing margins on all our products. So it is very difficult to indicate a level, definitely all the oil marketing companies should earn a reasonable marketing margin. And as on date, if we talk about we have a positive marketing margins.

Yogesh Patil: Thanks a lot, sir.

Moderator: Thank you. Ladies and gentlemen as there are no further questions, I would now like to hand the conference over to Mr. Varatharajan Sivasankaran to give his closing comments.

V. Sivasankaran: Floor to the management for their closing remarks. I had one small question, sir. On the Barauni Refinery you had announced increase in capex cost. So should we assume that like on Panipat and Koyali you don't have an increase in capex cost. So should we go with the original cost?

Management: See, we have revised the cost of both Panipat and Gujarat a few months back. So whatever the latest achievement the management has approved, commissioning is happening according to that. So Barauni has come this time.

V. Sivasankaran: Okay, sir. Fair enough. So the floor is yours for your closing remarks.

Anuj Jain: Yes. Thank you all for your time and insightful questions. On behalf of the entire management

team, thank you once again for your continued trust and support. We look forward to engaging with you in our future interactions and keeping you updated on our progress. Stay safe and take care, Jai Hind , Jai IndianOil .

V. Sivasankaran: Thank you, sir. I would like to take this opportunity to thank the management. It was a pleasure having you on the call answering all the questions. And thanks all the participants for taking time out to join the call. Thanks, everyone and have a nice day.

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Moderator: Thank you, gentlemen. And on behalf of Antique Stock Broking Limited that concludes this conference. You may now disconnect your lines.

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MANAGEMENT : MR. ANUJ JAIN -- DIRECTOR OF FINANCE -- INDIAN
OIL CORPORATION LIMITED
MR. NITIN KUMAR -- CGM, CORPORATE FINANCE
AND TREASURY -- INDIAN OIL CORPORATION LIMITED
MR. PRAMOD JAIN -- CGM TREASURY -- INDIAN OIL
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MR. PRABHAT HIMATSINGKA -- CGM, FINANCE AND
TREASURY -- INDIAN OIL CORPORATION LIMITED

MODERATOR : MR. VARATHARAJAN SIVASANKARAN -- ANTIQUE
STOCKBROKING LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Indian Oil Corporation Limited Q1 FY '26 Results Conference Call, hosted by Antique Stockbroking Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Varatharajan Sivasankaran from Antique Stockbroking Limited. Thank you, and over to you, sir.

Varatharajan Sivasankaran: Thank you, Sir. And a very good morning to everyone. I would like to welcome all the participants to this 1Q FY '26 Indian Oil Corporation conference call. We have with us the management represented by Mr. Anuj Jain, Director of Finance; Mr. Nitin Kumar, CGM, Corporate Finance and Treasury; Mr. Pramod Jain, CGM Treasury; Mr. Prabhat Himatsingka, CGM, Finance and Treasury.

I would now like to hand over the call to Mr. Anuj Jain for his opening remarks, and then we can move to Q&A. Sir, the floor is yours.

Anuj Jain: Thank you. Dear investors and analysts, a very good morning to all of you. I take this opportunity to welcome all of you to the conference call organized by us post announcement of the first quarter results of financial year '25-'26. I thank each one of you for joining the call. I trust you have had an opportunity to review the accounts we have posted on our website and the updates that have been shared with most of you.

In today's call, we would like to walk you through our performance for the quarter gone, providing some insights on the broader macroeconomic context and also share with you the strategic initiatives we are pursuing to strengthen our position as India's large oil and refining and marketing company.

Friends, let me start with our quarterly performance. This quarter, we have registered a profit after tax of INR5,689 crore, which was INR7,265 crores in the preceding quarter and INR2,643 crores in the corresponding quarter of financial year '25. The decline from the last quarter was primarily on account of inventory losses, which we are going to discuss further.

Revenue from operations during this quarter stood at INR218,608 crores. This marks an increase from INR217,725 crores in Q4 of financial year '24-'25 and from INR215,989 crore in the preceding -- in the corresponding quarter of financial year '24-'25. In August 2025, the Union Cabinet has approved compensation amounting to INR30,000 crores to the 3 public sector oil marketing companies, Indian Oil, BPC and HPC, for the under-recoveries incurred on sale of domestic LPG.

We are yet to receive an official communication in this regard for further details and accounting. And a note on the same was given in the financial results also. I'm pleased to share our operational performance this quarter has been robust surpassing several key benchmarks of Indian Oil Corporation Limited
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previous quarters. Our sales for the quarter were highest ever and many other operational achievements were made. This is a testament to the strength of our operating model, the agility of our teams and the efficiency of our extensive distribution network.

Friends, now the operational and financial highlights will be briefed by my colleague, Mr. Nitin Kumar, CGM, Corporate Finance and Treasury. Over to you, Nitin.

Nitin Kumar: Thank you, sir. Good morning to you all. Kindly note that today's discussion may include forward-looking statements, which are based on currently available information, assumptions and expectations and are subject to uncertainties that could cause actual results, performance or achievements to

differ materially from those expressed or implied.

Participants are advised to refer to company's latest filings with regulatory authorities for a more detailed discussion on the risks and uncertainty. The past quarter has witnessed important developments, both globally and domestically. On the interest rate front, the U.S. Federal Reserve has maintained the federal fund rate in the range of 4.25% to 4.5% through July 2025, reflecting the Fed's cautious approach amid persistent uncertainty in inflation and growth outlook.

In India, the Reserve Bank of India reduced a benchmark repo rate to 5.5% in May 2025, representing a cumulative cut of 500 basis points over the last 6 months. On the growth front, reaffirming India's position as the world's fastest-growing major economy, IMF has revised its forecast for India's economic growth to 6.4% for both 2025 and 2026, RBI has maintained its estimate of 6.5% for financial year '25-'26.

S&P Global Ratings has upgraded India sovereign rating to BBB, underscoring the nation's strong fundamentals and resilient growth. This strengthens investor confidence and support and supports better financing conditions for Indian corporates, including our own growth plans. For our sector, demand dynamics remain strong. As per PPAC data, India's domestic consumption of petroleum products reached 61.65 million metric tonne in the last quarter of financial year '25-'26 versus 60.5 MMT in the preceding quarter, marking a growth of 2%. This uptick was led by a sharp rise in diesel and gasoline consumption.

For the current financial year, PPAC forecasts 4.65% growth in domestic consumption of petroleum products. This continued expansion reinforces India's role as a key driver of global oil demand in 2025. As the country's largest oil refiner and marketer, we remain steadfast in our mission to ensure energy availability across the nation at affordable cost.

Looking ahead, we have set ourselves the goal of increasing our share of the national energy basket from 9% today to 12.5% by 2050. This is aligned with expected doubling of India's overall energy demand by mid cycle. To achieve this, we are pursuing a balanced portfolio approach, continuing to strengthen our conventional fuel business while making decisive moves into cleaner and more sustainable energy pathways. Our 3 major refinery expansion projects are progressing well and are on track for mechanical completion by 2026.

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With these expansions, our group refining capacity will increase from 80.8 million metric tonnes per annum to 98 million metric tonnes per annum, providing a critical boost to our ability to meet growing national demand and support India's vision of energy self-reliance.

In parallel, we are investing in pipeline and marketing infrastructure to further fortify our supply and distribution network, ensuring that energy reaches every corner of the country efficiently. We are simultaneously scaling up our petrochemical capacity as this remains a high potential growth area, given India's low per capita consumption and significant import dependence.

Our objective is to raise petrochemical integration from the present 6% to 15% with a focus on niche and special chemical products. On the clean energy front, we are scaling up investments in electric mobility infrastructure, including EV charging and battery swapping stations alongside projects in natural gas, compressed biogas, biofuels and green hydrogen, including hydrogen mobility solutions.

Thus, we anticipate a gradual tapering of spends on conventional assets with a growing share of our Capex being directed towards petrochemicals and alternate energy segments. Areas where we are making high conviction in strategic investments for the future. We have begun this -- we

have begun the new fiscal year with a strong strategic thrust through th

e launch of Project S print,

which is our transformational road map to not only sustain, but also accelerate our leadership in the energy sector.

Sprint represents the confluence of 6 strategic pillars, strengthening the core business, cost leadership, customer centricity, cutting -edge technology and innovation, the development of the next generation of leadership and readiness for the energy transition. The idea is to move decisively beyond business as usual and position Indian Oil to reach greater heights while reinforcing our core strengths.

Now let me briefly touch upon the quarterly performance highlights. Talking about a few numbers here, the average price of crude Indian basket during this quarter witnessed a reduction of about 12.4% from the immediately preceding quarter, that is Q4 of financial year '25. Various geopolitical factors starting from OPEC+ p roduction adjustments, imposition of tariffs by the U.S. government have contributed in cooling the crude oil prices.

With respect to the crack spreads during Q1 of FY '25 -'26, both MS and HSD cracks have improved in comparison to the previous quarter. In petrochemical space, the spreads of key products registered a marginal improvement during the quarter, though they continue to remain at subdued levels, a weak global economic outlook, coupled with the addition of new capacities continue to exert pressure on petrochemical prices worldwide.

Now let me briefly touch upon the major verticals, refineries. I believe you all would have gone through the operational performance highlights updated on our website. The report GRM of \$2.15 per barrel during this quarter is lower than the previous quarter, mainly due to inventory losses. However, the normalized GRM for the quarter at \$6.91 per barrel is better than the previous quarter of \$5.39 per barrel.

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The increase in GRM is attributable to the higher product crack spread during the quarter, pipeline. The capacity utilization was about 74% during this quarter as compared to 73% in the previous quarter. Pipeline throughput during the quarter is 26.3 milli on metric tonnes vis -à-vis 25.8 million metric tonne during the previous quarter.

Marketing. During the quarter, Indian Oil achieved highest ever total quarterly sale of 26.328 million metric tonnes. During the quarter, 445 retail outlets were commissioned, taking the total number close to 40,666. During financial year '25 -'26, we plan to set up more than 4,000 retail outlets.

Petrochemicals. The sale of petrochemical products, including exports during this quarter was 0.83 million metric tonnes, similar to the preceding quarter amounting to 0.83 million metric tonne.

Gas. During the quarter, we registered natural gas sales of 1,644 TMT, that is 1,000 metric tons and CGD sales of 41 TMT as compared to natural gas sales of 1,787 TMT and CGD sales of 34 TMT during the preceding quarter, that is Q4 of financial year '24 -'25. We have entered into a long-term sale and purchase agreement with ADNOC for supply of 1 million metric tons per annum of LNG over a 15 -year period starting from '28 -'29.

Indian Oil and Trafigura Pte Limited signed a confirmation memorandum for the supply of approximately 0.4 million metric tonne per annum LNG from July '25 to December 2029 under Indian Oil's first Henry Hub linked midterm contract with the first LNG cargo delivered on 10th August '25 at Dahej. These are major steps towards enhancing India's energy security and reducing exposure to the volatility of the spot LNG market.

Alternate strategies. We have marked several technological and operational milestones this quarter. We have recently signed a landmark contract and hydrogen purchase agreement with L&T Green Energy Technology Limited for the establishment of 10 KtPA green hydrogen generation unit at our Panipat Refinery. The expected comp

letion time of the project is around

2 years.

Indian Oil's wholly owned Green Subsidiary Terra Clean Limited, has secured ISTS grid connectivity of 1,354 megawatt cumulative capacity across India, land procurement activity is under progress. Our Panipat Refinery has become the first in the country to be certified to produce sustainable aviation fuel by converting used cooking oil into jet grade fuel, a milestone in India's green aviation efforts and our broader sustainability journey.

Capex. During the quarter, the company incurred a total Cap ex of INR6,470 crores, encompassing investment across all verticals. For financial year '25-'26, the budgeted Cap ex is INR33,494 crores. These investments are aligned with our long -term strategic road map and National Energy priorities.

Borrowings. With respect to the borrowing levels, the borrowing as on 30th June '25 has decreased by about INR13,000 crores and is at INR121,547 crores level as compared to India n Oil Corporation Limited
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INR134,466 crores as on 31st March '25. The decrease in the borrowings were mainly on account of year -end excise duty payment. With the current debt -to-equity ratio of 0.66 as on 30th June '25, Indian Oil is comfortably placed to fund the ongoing Capex plans. Let me take a pause here and request Director of Finance for his further remarks.

Anuj Jain: Thank you, Nitin. As we progress through financial year '25-'26, our priorities remain firmly anchored in operational excellence, disciplined capital allocation and strategic investments that not only reinforce our core strengths, but also position us at the forefront of the evolving energy landscape.

I extend my sincere gratitude to our shareholders, employees, partners and all stakeholders for their unwavering trust and support. With this strong foundation, we are confident in our ability to deliver sustainable value and long -term growth even in the f ace of a dynamic and challenging external environment.

I will end my briefing here. We will now take your questions. Thank you.

Moderator: Our first question for today comes from Probal Sen with ICICI.

Probal Sen: Congrats on good set of numbers. Just wanted to understand how much of Russian crude did you process this quarter and what sort of discounts? Obviously, the other oils you have already mentioned their own assessment. Just wanted to get your sense on this.

Anuj Jain: See, as far as '24 -'25 was concerned, we almost processed 22% Russian crude oil, which in quarter 1, it got increased to 24%. And July and this quarter is still going on. And the discount as usual, everybody has said the same thing. It's in the range of ar ound \$1.50 to the Dubai benchmark.

Probal Sen: Got it. And sir, just the other thing, again, that was just to corroborate the inventory impact this quarter was because we had actually built up our crude positions, keeping in mind the geopolitical uncertainty. Is there anything else that we should be lo oking at because of the high inventory loss this quarter?

Anuj Jain: No, basically, I would say inventory levels are being maintained based on our shutdown schedules and other requirements. So this quarter, whenever you see Indian Oil maintains quite high inventory because of our Haldia refinery. So whenever the crude oil p rices come down, we take an impact on our financial statements. So if you see -- because this question will be asked by others also, this quarter, we had an inventory loss of almost INR6,500 crores, whereas if you see Q4 last year, we had a gain of almost INR3,500 crores worth.

Probal Sen: So primarily, just to sort of understand that, essentially, this was related to our building of positions based on our shutdown schedule, not because of any other reason. That's the reason why...

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Anuj Jain: Not because of other r

easons. This is all normal inventory. We have been maintaining our normal inventory in our books of accounts.

Probal Sen: Understood. One more question, if I can just slip in with respect to the targets, the 2 targets that they have mentioned. Correct me if I got the numbers wrong. One was our goal of increasing share in Indian energy from 9% to 12.5%. And the second was the petchem yield in our overall portfolio, sir, from 6% to 15%. Now I just wanted to understand the road map for getting there, one, and the time line. I'm sorry if I missed that in the briefing. What are the time lines for achieving these 2 targets?

Anuj Jain: See, as far as increasing our energy basket share from -- to 12.5%, it is by 2050. That was a major target set by the company. And basically, as you see, apart from our traditional refining and marketing business, we are also venturing big into the petchem sector. We're also venturing into the renewable sector.

We're also venturing into our -- all types of energy, which are CBG, gas, CNG. So all these factors put together, we have an ambitious target of high Cap ex and definitely, based on the outcome of the additional investment, we hope that we will be at around 12.5% of the total energy basket in the country.

Probal Sen: Right. And about the petchem share, sir, again, that's the same target, 6% to 15% is by CY '50 or that is an earlier target?

Anuj Jain: No, that will be somewhere around -- I think it was 2030 plus/minus 1 or 2 years. So this target

should be achieved much before that. Because if you have seen that apart from my existing investments in petchem, we have also announced a big investment of almost USD 8-10 billion in the dual-feed naphtha cracker at Paradip Refinery. And I think this has also started.

Probal Sen: Got it. Sir, one last housekeeping question. I didn't quite catch the last number shared by -- in the operational briefing. What is the debt equity ratio that was mentioned right now?

Anuj Jain: 0.66.

Probal Sen: 0.6. And what is the kind of peak debt equity ratio given our higher Cap ex over the next few years? What kind of peak are we looking at maybe, let's say, by FY '28 or '29?

Anuj Jain: See, generally, the target to remain within 1:1 debt equity ratio.

Probal Sen: So that would be the target?

Anuj Jain: So this is our benchmark what we internally keep.

Moderator: Our next question comes from Sumeet Rohra from Smartsun Capital.

Sumeet Rohra: Congratulations for the entire team at Indian Oil. Sir, firstly, I want to congratulate you...

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Moderator: Sorry to interrupt you, sir. Mr. Rohra sorry to interrupt you there, sir. Sir, you're not audible, sir. May I request you to use your handset, please.

Sumeet Rohra: Okay, sure, sure. And congratulate you and the entire team at Indian Oil for doing a wonderful job. Sir, I would like to basically just spend a couple of minutes to talk to you more on the investor angle. Sir, firstly, it is very heartening. And congratulations to all the 3 companies in our downstream sector. Today, Corporate India posted a profit of INR439,000 crores in the first quarter gone by. And the oil marketing companies have reported a profit of INR16,000 crores plus, which is about 4% of India's profit just the 3 companies.

But sir, here as an investor, I come in, the market cap of the oil marketing companies is well under 1% of India. So on a sustainable basis, you guys are doing about 3% of profit of India, but your market cap is just not improving. If you just recall one thing, in 2017, our market cap was INR2 lakh crore when our balance sheet was about INR2.5 lakh crores. Today, sir, our market cap is INR2 lakh crores, but our asset value has gone well above INR5 lakh crores.

So sir, one thing which clearly market tells us which we cannot ignore is the matter of fact is that market does not have

clarity in the earnings of the oil companies, which is actually happening, but the confidence element is clearly missing, right? Because otherwise, for 7-year period, the market cap cannot be same when the underlying business is growing so well. And it's not only for you, it's for all the 3 companies.

So sir, as a management, it is our humble request that a market cap should be please considered in the evaluation because it is an integral part of every stakeholder, maybe an investor, maybe be a shareholder, maybe even the government because the government is a principal owner because ultimately, market cap is all what matters at the end of the day when you evaluate how much return has the company given.

Sir, just on the -- question on the LPG point of view. So this press release that stated that this was for FY '25. Is my understanding correct that the entire money would be accounted for in Q2 in spite of it being paid in tranches, this money would be accounted for in Q2. Your clarity on that, sir, would go a long way in addressing many things, sir.

Anuj Jain: I will address the second question first. As far as the breakup of INR30,000 crores is concerned, we are awaiting the final modalities to be received from MOPNG. And according -- as per the Union Cabinet has already given INR30,000 crores. But how it will be shared and how much it will be given for which period, we are waiting the final details from the MOPNG. So based on the communication from the ministry, we will be able to share further details with our investors. But I'm happy to say that there was a lot of concern in the past whether the oil companies will be getting this compensation or not. But again, back-to-back, government has supported to the oil marketing companies on this side, which if you remember out of INR28,000 crores, we got INR22,000 crores. And now out of INR41,000 crores, we got INR30,000 crores. So I think this is a good sign for the continued support to the oil marketing companies.

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And coming to the first part where you said that market cap, see, for the past 3 years, you have seen such a huge geopolitical factors affecting the oil and marketing companies. So I think this is also one of the factors, which is affecting the companies -- how the investors see these oil marketing companies. But definitely, on the operational front, I can definitely talk about Indian Oil that our operational parameters have been beyond our targets.

And we have rapidly ramped up of all our operational funds and the projects -- another one thing I would share is a lot of projects got -- we started the project during COVID time. And now the projects are almost going to be completed. So this is a time we are spending a lot of money, but the income has not started coming in our P&L. So in the next 1 year, you will see all the projects getting commissioned and the income starts coming in our books of accounts. So that should give a big comfort to our industry.

Sumeet Rohra: Just one thing if I may add, sir. The matter of fact that our cash flows are getting stronger as we go ahead. I would request that you should, I mean, consider buyback because that will be very effective in boosting our EPS, our financial matrix and also it will be a sign of strength signifying that the way we are looking at our thing. So I would say -- I would request, sir, a buyback should definitely be considered, sir.

Anuj Jain: Okay. Point noted, sir. Thank you.

Moderator: Our next question comes from Achal Shah from AMBIT Capital.

Achal Shah: Sir, just wanted to understand about the aviation business. So currently, what is our market share, margin structure? And what are the volumes we are doing? Can you shed some light on that broad numbers would help?

Anuj Jain: As far as market share is concerned, our market share is between 55% to 60%.

Keeps on

changing, really from 55% to 60%.

Achal Shah: Okay, sir. Sir, about the margins, like how much are we making on EBITDA level or on a per liter basis, that would be useful?

Anuj Jain: See, generally, I don't see margin on -- see, we have an integrated margin. That is why we come with the gross refining margin figures in our financial statement. But as such, if you see the international market, the refining -- the trend on the aviation front is quite robust and the kind of growth aviation business is seeing year-on-year, we are very bullish on the aviation business in our company.

Achal Shah: Sir, like is there any discounting to maintain the market share because crack spreads have been positive, but like any idea on that front?

Anuj Jain: See, in any of the products which are competitive, discounts are part of the game. And it keeps on -- based on the market dynamics, we fine-tune our strategy. But as such, what I'm saying, there's so much growth in the aviation sector that all the companies who are in the aviation

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business will have a very robust growth forward. And our company is very, very focused on the aviation business. This is one business which is going to show maximum growth in the country. We have a refining expansion coming. There also, we are focusing on ATF production maximization also.

Achal Shah: Got it. Just one more question on the throughput per outlet. Sir, what is our throughput per outlet for like FY '25 or for 1Q FY '26? And what are the steps we are taking to increase that there since BPC is leading on a throughput per outlet basis. So to increase the throughput, what are some steps we are taking?

Anuj Jain: See, my per pump throughput is around 130

Achal Shah: KL per month? This is for KL per month.

Anuj Jain: KL per month, yes. And see, we are taking a lot of strategies, as Nitin also shared with you.

Project Sprint we have started, where we have -- one of the three targets is, on increasing the PPT. How it will be done is, first, we are targeting the middle selling retail outlets. Number two, we also are seeing the low selling retail outlets, how we can work with our channel partners to increase the sales of our retail outlets. And number three, we are also trying to commission new retail outlets in the segments, which are having a traditionally high throughput.

As you understand, if you compare with BPC or other oil marketing companies, Indian Oil is present in the areas where generally the throughputs are not high, in the Northeast, in the remote areas. So that is the strength of the company also that we are present in all the markets in a good strength.

So it may affect my PPT, but it gives me leverage to encash. Whenever any expansions are required, any new products are to be introduced, any new expansions are there, we are also targeting a few other expansion, and we have already a joint venture company in fertilizer sector.

So I think we see all these things on a holistic basis where we will be able to encash even those retail outlets where who doesn't give me higher PPT today.

Achal Shah: Sir, so would we be thinking of discounting?

Anuj Jain: Pardon?

Achal Shah: Would we give additional discounts versus the other PSU OMCs?

Anuj Jain: All the three oil marketing companies generally maintain the same pricing strategy in the market.

So that way, all the 3 marketing companies are aligned to each other.

Achal Shah: Sir, just one last question. What was LPG under recovery per cylinder in 1Q FY '26? And in August or currently, what is the per cylinder loss under recovery?

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Anuj Jain: See, if you see the LPG under recovery in last quarter in Q1 financial year '25 -'26, it was around in the range of INR160 to INR165 per cylinder. And today, i

t is in the range of INR100 to INR105 per cylinder as on date.

Moderator: Our next question comes from S. Ramesh with Nirmal Bang Equities.

S. Ramesh: Can you share the breakup of the inventory loss you mentioned between refining and marketing?

Anuj Jain: See, we'll only -- I can give indicative figure. It is around 50, 50 percentage what would be the loss in the crude and the product side.

S. Ramesh: And the total inventory loss is INR6,500 crores, did I hear it correct?

Anuj Jain: Yes, yes, that is correct.

S. Ramesh: Okay. So if you look at your gas business, the revenue Y -o-Y, if you look at last year first quarter and this year first quarter is more or less same at INR10,000 crore, but the profits have crashed from INR654 crores to INR50 crores. So what is happening there? Is there a loss in your LNG business? We know that the CGD business is not that big. So you may have had some challenges there. But what is happening on the LNG business? And going forward, how do you see the gas business perform both in the stand -alone CGDs and your LNG business?

Anuj Jain: See, as far as gas business is concerned, that is one of the most profitable business for Indian Oil. The margins , internationally the prices have been high for LNG in the past 1 quarter. So definitely, it affected our profitability.

S. Ramesh: Okay. So what is the way forward? How do you see the gas segment move from here in terms of the growth in your CGD business, in terms of the Cap ex and CGD and the number of CNG stations there?

Anuj Jain: See, if you segregate my gas segment, one is the LNG, one is the CNG, that continues to be a reasonably stable business for me. Number two is, my LNG business for the industrial use.

There, the margins have come down because of the high pricing in the international market. And the third segment, CGD segment, it is definitely becoming stronger day by day. But as on date, it doesn't give you a huge either profit or negative to my gas business.

S. Ramesh: Okay. Sir, can you share what is the kind of Cap ex you're going to do in the stand -alone CGD? And what is the kind of growth in volumes you expect from the volumes you have shared for the first quarter, say, over the next 2 years?

Anuj Jain: Yes, give me 1 minute. See, as far as I'm concerned, we have a target of spending almost INR22,000 crores in my total Cap ex, which I'm envisaging in my CGD segment. Already, I have spent almost INR4,000 crores to INR5,000 crores as on date. And we aim to spend almost INR1,000 crores each year in the CGD segment. We want to monetize our investments in the times to come. And definitely, we will spend our money as GA, we assume that the GA starts

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giving the money to me. But my predominant focus is my LNG segment to the industrial use and also CNG business.

S. Ramesh: Okay. So going back to LNG in your petrochemical business, so LNG, they have -- Ennore terminal you're planning to expand that. So how do you see the LNG economics going forward?

What is the kind of breakeven you need because there's a lot of competition from the new terminals at Dhamra and Petronet LNG is talking about something in Gopalpur.

So in terms of your current cash flows from the Ennore terminal, if you can shed some light in terms of what is the profit or loss you're making? And how do you see that changing, but based on your expansion plan from 5 million tonnes to 10 million tonnes?

Anuj Jain: See, if I see my existing Ennore terminal capacity utilization, in '23 -'24, it was around 18%, which became 25% in '24 -'25. And this year, I'm expecting it to again go up to 31% to 32%. By next year, it should be quite high because the way the infrastructure is getting generated created along with the Ennore terminal, definitely the demand from the Ennore terminal will go high.

S. Ramesh: Okay. So last doubt on

petrochemicals. So we all know that the margins are under pressure

globally. You have an integration plan in terms of increasing the share of petrochemicals. So in terms of your competitive advantage, if you revisit this narrative about the domestic market

being import dependent, what is the kind of cost leadership you will enjoy based on your integrated capacities?

Would you be there in the top 10% or 25% in terms of cost leadership? And would that be your competitive advantage to kind of ramp up the petrochemical business and cash flows, assuming that the excess capacity may not get mitigated because China keeps adding capacity. So that's a clear overhang. So given that context, how do you see you remaining competitive once your expansion plans are completed?

Anuj Jain: See, as you all understand, that petrochemical, there's a huge demand in the country. I think there's no doubt. Number two, we also know that the petrochemical is a natural integration for the Indian Oil. We use our own naphtha and other products for the petrochemicals. Otherwise, we have to export those things. So instead of exporting, if you see an integrated margin, it makes much more logical for me to have a petrochemical expansion. With a lot of refining extension coming, definitely, I would be having a raw material to feed my future petrochemical expansion. So as far as the margins, yes, today, we are in the down cycle of the petrochemical margins. But if you see petrochemical margin is generally always EBITDA positive for me. And if you see the general cycle, by the time my major petchem expansions will come on board, we expect the cycle of petchem to come back. All the companies are knowing that it's a cyclical industry. And whenever it becomes a positive, cycle comes, and we will be happy to then get returns from our huge investments.

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S. Ramesh: Okay. So last time, you had mentioned that your three refinery expansions are getting started by FY '27. So if you see the expansion in capacity and the increase in yield, what would be the delta in refining margins you can expect from these 3 refinery expansions from FY '27?

Anuj Jain: See, if you see the delta margins, it will be very difficult to predict because it will -- see, today the refining margins are so good. See, it all depends upon the international market. But definitely, whatever returns, whatever is my cost of capital, I'm definitely going to earn beyond that. So it will give me a positive margins on my investments. How much it will be given, it will be depending upon the international market. But if you see today margin, it is quite robust.

Moderator: Our next question comes from Hardik Solanki with ICICI Securities.

Hardik Solanki: My question already got answered.

Moderator: Our next question comes from Amit Murarka with Axis Capital.

Amit Murarka: Actually I joined call a bit late. Sorry, if I'm repeating this question, but could you provide the marketing inventory losses in the quarter?

Anuj Jain : See, my total -- as I shared that during Q1 '25 -'26, I got a hit of INR6,500 crores due to inventory losses. And if you see the quarter 1 of the previous year, it was a gain. So the delta is almost INR10,000 crores.

Amit Murarka: Last Q1 is INR3,500 crores gain you said.

Anuj Jain : Yes.

Amit Murarka: Sure. And also under again this refinery projects, so what I understand is that Barauni comes next year, fiscal year sometime Q2 and Koyali, the other refinery comes by end of the fiscal. So is that the current time line as well? Or there is further change to that?

Anuj Jain : See, as of now, our Panipat and Gujarat are scheduled to be commissioned in end of this year, first quarter of this calendar year. And then the Barauni, yes, you are right, it's coming around August '26. So the expansions will come in phases. So accordingly, our project

will get scaled up.

Amit Murarka: And what is the Cap ex guidance for this year now?

Anuj Jain : See, we have already targeted to spend INR34,000 crores during the financial year '25 -'26. And out of that, refinery, we almost take INR14,000 crores to INR15,000 crores and petrochemicals, marketing, pipeline, CGD, all put together will be another INR15,000 to INR16,000 crores.

Amit Murarka: Understood. Just lastly, on Russian crude discounts, which we believe that has also come down. So could you just comment a bit on the discounts you kind of -- you could book in Q1 and what's the outlook for the same in Q2? And ahead and also on the crude sourcing, has that been stopped now in the wake of the current situation with U.S.?

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Anuj Jain : See, I shared these numbers before also that last year, '24 -'25, we almost got 22% of the Russian crude. And during the quarter 1 of '25 -'26, it is almost 24%. And this quarter, we are continuing to buy the Russian crude depending upon the economics.

Amit Murarka: And the discount would be how much right now?

Anuj Jain : It is around \$1.5 to \$2.

Moderator: Our next question comes from Somaiah with Aventus Spark.

Somaiah: Sir, first question is on the refinery expansion. So 18 million tonne expansion. So next year, roughly what kind of incremental throughput that you are looking at taking the ramp -up into consideration? That's the first part. Second, in terms of product slate, what is the petchem intensity, which is coming online? And diesel and petrol, if you could give some color in terms of our existing product mix versus the new refinery?

Anuj Jain : I will go one by one. First of all, Barauni, see, it is due to be commissioned in August '26. And generally as per the past experience, generally it takes 24 months for 100% capacity utilization. . For both, Panipat and Gujarat, they are expected to be commissioned by the end of this year. And again, both the units, Gujarat and Panipat, will take around 24 months post commissioning for giving 100% additional throughput what we are targeting. I will not be able to give the exact numbers. But yes, Panipat expansion is for 10 MMTPA, Gujarat is for 4.3 MMTPA and Barauni is for additional 3 MMTPA. So the total almost 17.3 MMTPA will get added in the next three refineries .

As far as the product slate is concerned, definitely, HSD is a major component . And as I shared earlier, MS and ATF, these are -- we try to maximize these three products. All put together, MS, HSD and ATF should give me around 70%.

Somaiah: Got it, sir. Sir, also on the Cap ex run rate now that the refinery expansions are now nearing completion, so how should we think about next couple of years, whether this INR33,000 crores, INR34,000 crores of run rate would be there or can it come off? And also in marketing, you did mention that 4,000 outlets. How do we see intensity of outlet additions in the next couple of years? Can it come off?

Anuj Jain : See, actually, you are correct that most of my refining expansions will be over by financial year '26-'27, okay? So then definite -- but already, I have announced USD 8-10 billion petrochemical project in Paradip. So that will start as we start spending money on that Cap ex.

But yes, I would share one thing that we don't have any specific targets to do any Cap ex, but we want to remain the major energy player in this country. So apart from the refining and petrochemicals, we are also targeting additional investments into renewable sector now. We are targeting 30 gigawatt renewable energy target by 2030.

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So for that, we have a 100% subsidiary company also now. Apart from that, we are also investing huge money into gas sector. So all put together, my Cap ex may not be INR40,000 crores, but yes, it should be around

around INR30,000 crores in the coming times, say, next 4 to 5 years.

Somaiah: Got it, sir. Just a point on marketing retail outlets. So this run rate of 4,000, should we expect it to kind of come off in the next few years or the same intensity will kind of continue?

Anuj Jain : No, it will come down definitely. Definitely, it will come down in the coming years. And it will be based on the market demand also. See, it's a highly competitive industry. We will have to see how the market performs. So definitely, I cannot give very specific numbers. But yes, based on the market dynamics, we expect the number to slightly come down in times to come.

Moderator: Our next question comes from NM Modi, who is an investor. As there is no response, we'll move to the next participant. Our next question comes from Achal Shah from AMBIT Capital.

Achal Shah: Sir, can we know the current ethanol blending percentage? And what is your take on the current situation about negativity on the blending for the car warranties and what is going on?

Anuj Jain : See, we achieved 19.99%, almost 20% target in '25 -'26 now. So we are fully geared to achieve these targets.

Achal Shah: And sir, like is there any mandate or norm to increase this target, like what's your take on that? currently, I think it's 20%. So where do you think it can go in the next few years?

Anuj Jain : See, the mandate was 20% and we achieved our target of 20%. As of now, this is the target what we have been given and we are going to achieve that.

Achal Shah: Sir, just one more question on the retail outlet expansion plan. Can you give a sense of how many outlets would be reached by FY '26 and FY '27 end?

Anuj Jain : So we have to commission almost -- we will be touching 48,000 retail outlets by the end of '26 - '27.

Moderator: Our next question comes from Navneet Tyagi from Urbanc Engitech.

Navneet Tyagi: Sir, my question is, as per Parliament Question 2759 -2018, in the year 1999, the pump was in your litigation. Did you declare it in your balance sheet?

Anuj Jain : I will have to check this. Sir, I don't have the data ready.

Navneet Tyagi: It's a very serious question. Number two question is, how many pumps are currently running in your litigation, sir? Who will pay the compensation for this?

Anuj Jain : Sir, I don't have this data.
Navneet Tyagi: Sir, is this not a fraud with the investor?
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Anuj Jain : Sir, I will provide you the data you have asked for separately.
Navneet Tyagi: No, my simple question is, sir, you are doing AGM today. Tell me, is this a fraud with the investor or not? That's it.
Anuj Jain : Sir, we are a national oil company. We have guidelines.
Navneet Tyagi: If you are a national oil company, then why didn't you share this data with the investor?
Anuj Jain : Sir, I don't have this data right now. I have requested the coordinator.
Navneet Tyagi: When will you share this data? Is this a violation in the 447/447 Company Act or not, sir? When will you share this data? When will you stop fooling people?
Anuj Jain : Sir, this data will be provided to you. Thank you very much.
Moderator: Sorry to interrupt you, sir. May we request that we -- the management will get in touch with you. The next question comes from S. Ramesh from Nirmal Bang Equities.
S. Ramesh: So if we look at your other segment, so there is a difference in terms of the losses being lower in the consolidated entity compared to the stand -alone, but on a Y -o-Y basis, there is a swing from profit to loss. So if you can put the other business in context and you mentioned something in the annual report about cryogenics and explosives. So is there any potential for this performance to improve to profitable operations? And in terms of ROCE, would you be able to get double -digit ROCE in the other activities?
Anuj Jain : See, if you see my other busin

ess activities, as per my stand -alone accounts, this quarter, my profit before tax and interest is INR374 crores negative, which was negative of INR216 crores in quarter 4 '24 -'25. So this has increased. So basically, this is on account of other segments like E&P, we have other segments also.

And we have also done a write -off of one of our E&P investment of INR340 crores this quarter. So that was onetime activity, which has resulted into a negative figure this time. If you see last year, it was positive INR24.34 crores. If you compare these 2 figures, this is a onetime write -off in our books of accounts. That has resulted into a negative of INR374.46 crores in the Q1 '25 - '26.

S. Ramesh: So do you see this segment getting into profitable operations on a full year basis? And you mentioned some plans for cryogenics and explosives in your annual report. So other exclusive companies are actually doing fairly well. So do you see your explosives business also kind of getting into the growth trajectory? And what are your plans in the other activities, including E&P, cryogenics and explosives?

Anuj Jain : See, if I see my other business segments, see, definitely, my cryogenics business, my explosives business are positive contributors in my P&L, okay? But other segments like E&P, depending upon the dynamics of crude oil, dynamics, it becomes profitable a lot. But definitely, the way India n Oil Corporation Limited
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we are adding our new renewable business, solar and wind, after 1 or 2 years, you will see huge revenues coming from that segment as well. But that investments are coming through my subsidiary and JV companies. So it will be coming through that segment in my books of accounts.

S. Ramesh: Okay. So if I may squeeze in a last thought. On green hydrogen and the sustainable aviation fuel, can you give us some visibility on the commercial aspect in terms of what will be the pricing and ROCE, say, like for sustainable aviation fuel for the invest ments, how would you get the margins or return on capital? Similarly for green hydrogen, would you depend on government subsidy? Or what would be the kind of economics for that investment?

Anuj Jain : See, Indian Oil became the first company to set up such large 10 KTPA project at Panipat. And this is a captive usage. That means whatever hydrogen produced, it will be used by my own refineries. So this is one of the very good investment by Indian Oil, and that will kickstart our future ambitious spend in the hydrogen segment.

As far as SAF is concerned, this is a very upcoming sector. Whatever investments we will do, we should be able to get returns on SAF investments also. So as far as SAF is concerned, it will be a profitable business for us. And as far as green hydrogen is concerned, as of now, it is for my captive use. Based on this experience, my other commercial activities will start in the future.

S. Ramesh: So the cost of green hydrogen will be about in the \$3.5 to \$4 per KG?

Anuj Jain : Yes, you are correct.

Moderator: Our next question comes from Vipul Kumar Shah from Sumangal Investments.

Vipul Shah: Sir, what would be the Cap ex for your Paradip refinery where you are putting this petrochemical complex? And when it will start and when it will be commissioned?

Anuj Jain : See, as of the total investment is in the rupee terms, if you talk about. It's almost INR60,000 crores. And the project is at stage 1 as of now, the various parties have been appointed. So it will take almost 54 months from the investment approval.

Vipul Shah: Okay. And so one small suggestion, sir, if you can put all your expansions refinery wise or petrochemical like all other -- these oil marketing companies are doing stage wise, it could be better.

Anuj Jain : Okay. That I will be happy to provide. Thanks for that.

Moderator: Thank you. Ladies and gentlemen, that was t

he last question for the day. As there are no further questions from the participants, I now hand the conference over to Mr. Varatharajan Sivasankaran from Antique Stockbroking Limited for closing comments.

Varatharajan Sivasankaran: I would like to hand the call to the management for their closing remarks, after which I will.

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Anuj Jain: Thank you all for your time and insightful questions. On behalf of IOCL team, thank you once again for your continued trust and support. We look forward to engaging with you in our future interactions and keeping you updated on our progress. Thank you. Sta y safe and take care. Thanks.

Varatharajan Sivasankaran: Thank you, sir. I wish to thank on behalf of Antique Stockbroking all the participants as well as the management for answering all the questions and taking time out to attend this call.

Thanks, everyone, and have a nice day.

Moderator: Thank you. On behalf of Antique Stockbroking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Indian Oil Corporation Limited Q2 FY '26 Results
Conference Call"

October 28, 2025

MANAGEMENT : MR. ANUJ JAIN – DIRECTOR FINANCE – INDIAN OIL
CORPORATION LIMITED

MR. NITIN KUMAR – CGM I/C, CORPORATE FINANCE
AND TREASURY – INDIAN OIL CORPORATION LIMITED

MR. PRAMOD JAIN – CGM , TREASURY – INDIAN OIL
CORPORATION LIMITED

MR. PRABHAT HIMATSINGKA – CGM, FINANCE AND
TREASURY – INDIAN OIL CORPORATION LIMITED

MODERATOR : MR. VARATHARAJAN SIVASANKARAN – ANTIQUE
STOCK BROKING LIMITE D

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Moderator : Ladies and gentlemen , good day, and welcome to Indian Oil Corporation Limited 2Q Results
Conference Call, hosted by Antique Stock Broking Limited.

As a reminder, all participant lines will be in the listen -only mode, and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing “*then ‘0’ on your touchtone
phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Varatharajan. Thank you, and over to you, sir .

V. Sivasankaran: Thank you, Swapnali. Very good afternoon, everyone. At the outset, I would like to welcome
all the participants and the top management of Indian Oil Corporation to this 2Q Results Call.
We have with us Mr. Anuj Jain – Director (Finance) , Mr. Nitin Kumar – CGM I/C (Corporate
Finance and Treasury) , Mr. Pramod Jain – CGM (Treasury) , and Mr. Prabhat Himatsingka –
CGM (Finance and Treasury).

I would like to hand over the call to Mr. Anuj Jain for his opening remarks, and we will then
move on to the Q&A.

Anuj Jain: Thank you, Mr. Varatharajan . Dear investors and analysts, a very good afternoon to all of you
and warm greetings for the festival season.

I take this opportunity to welcome all of you to the Conference Call organized by us, post -
announcement of the 2nd Quarterly Results of Financial Year '25-'26. I thank each one of you
for joining the call. I trust you have had an opportunity to review the Results we have posted on
our Website , Exchanges , and the updates that have been shared with most of you.

In today's call, we would like to walk you through our performance for the quarter gone by,
provide some insights on the broader macroeconomic context, and also share with you the
strategic initiatives we are pursuing to strengthen our position as India's largest energy company.
Let me start with our quarterly performance :

This quarter, we have registered a profit after tax of Rs. 7,610 crores , higher than the preceding
quarter, which was Rs. 5,689 crores . From a half -year perspective, the PAT is Rs. 13,299 crores ,
as against Rs. 2,823 crores in H1 Financial Year '25.

Revenue from operations during this quarter stood at Rs. 202,992 crores , as against Rs. 218,608
crores in the preceding quarter of this year. The above -normal rainfall in the country has
impacted the sales volume for the quarter. The revenues for the corresponding quarter of FY '2 5
were Rs. 195,149 crores .

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On 8 th August 2025, the Union Cabinet approved compensation of Rs. 30,000 crores to the three public sector OMCs for under -recoveries incurred on sale of domestic LPG. As per communication received from MOPNG, IOC share in the compensation is Rs. 14,486 crores . The compensation amount will be disbursed in 12 monthly installments of Rs. 1,207 crores , starting November 2025. Accordingly, revenue to the extent of equivalent on a monthly basis will be recognized in the relevant periods.

The strategic initiative of Project Sprint has started showing improvements with green shoots visible in operational and financial performances.

Now, for the 'Operational and Financial Highlights ', I will request my colleague, Shri Nitin Kumar – CGM in-charge , CF and Treasury, to brief you. Thank you.

Nitin Kumar: Thank you, sir. Kindly note that today's discussion may include forward -looking statements, which are based on currently available information, assumptions, and expectations, and are subject to uncertainties that could cause actual results, performance, or achievements to differ materiall y from those expressed or implied. Participants are advised to refer to the company's latest filings with regulatory authorities for a more detai

led discussion on the risks and uncertainties.

The past quarter witnessed important developments both globally and domestically. On the global monetary front, the U.S. Fed delivered its first rate cut of 25 basis points for the year, bringing the rate down to the range of 4% to 4.25%. The Fed's updated projections signal the possibility of further reductions in 2025, underscoring a shift from a primarily inflation -fighting stance to growth and labor market support.

In India, the Reserve Bank of India held its policy repo rate steady at 5.5%, maintaining a neutral stance as the impact of earlier cuts continued to play out. On the growth front, IMF raised India's '25-'26 GDP growth forecast to 6.6% from 6.4%, following a strong 7.8% growth in Q1 of Financial Year '26.

For Indian Oil , the past few months have been particularly significant. On 20 th September 2025, Prime Minister Narendra Modi inaugurated Indian Oil 's acrylics and oxo-alcohol plant at Vadodara's Gujarat refinery, boosting India's drive for petrochemical self -reliance using propylene to make high -value products.

We started trials of "INDEcoP2F" technology at Digboi refinery, converting waste plastics like PE, PP, and multi -layer packaging into fuels, showcasing our sustainable and scalable innovation. Our Paradip Refinery commissioned a new hydrogen generation unit, announcing cleaner fuel production and supporting energy efficiency and sustainability goals.

S&P Global has assigned Indian Oil a BBB long -term rating, equivalent to India's sovereign rating. This follows S&P' s recent upgrade of India's sovereign rating and reflects our strong Indian Oil Corporation Limited

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financial fundamentals, disciplined capital management, and resilient performance amid a volatile global environment.

Now, let me briefly touch upon the quarterly performance highlight :

Talking about the numbers :

The average price of crude Indian basket during this quarter witnessed an increase of about 4.2% from the immediately preceding quarter, that is, Q1 of Financial Year ' 25-'26. The increase in crude oil prices quarter -on-quarter is largely due to geopolitical risks and stockpiling by China. Accelerated unwinding of production cuts by OPEC+ helped in keeping the increments in limits. With respect to the crack spreads, while HSD crack improved during Q2 of '25-'26, MS cracks were lower than the previous quarter. In the petrochemical space, the spreads of key products continue to remain at subdued levels due to weak global demand growth, new capacity additions, and volatile feedstock prices.

Now, let me briefly touch upon the major verticals :

Refineries :

The reported GRM of \$10.66 per barrel during this quarter is higher than the previous quarter. The normalized GRM for this quarter at \$8. 91 per barrel has also outperformed the previous quarter of \$6.91 per barrel. The increase in GRM is attributable to higher product crack spread of HSD during the quarter. The throughput during the quarter was at 17.6 MMT with a capacity utilization of 99.5% in comparison to throughput of 18.7 MMT and capacity utilization of 106.7% during Q1 of Financial Year '25-'26.

Pipeline :

The capacity utilization was about 67% during this quarter as compared to 74% in the previous

quarter. Pipeline throughput during Q2 of '25-'26 is 24.1 MMT, vis -à-vis 26.3 million metric ton during Q1 of '25-'26. The Gujarat refinery shutdown has impacted the refinery and pipeline throughput for this quarter.

Marketing :

Total product sales during the quarter were 24.262 MMT as compared to the sale of 26.328 MMT during the previous quarter, that is, Q1 of '25-'26. We know that the oil and gas sector is sensitive to seasonality, and the above-normal rainfall during this monsoon in India has impacted the volumes of major products in the quarter.

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However, with the strong and sustained demand for petroleum products across the country, we expect a significant improvement in our performance in Q3 and Q4, positioning us for a stronger finish to the year.

On a half-yearly basis, sales have improved, that is, 50.590 MMT in H1 of '25-'26, vis-à-vis 48.213 MMT in H1 of Financial Year '24-'25. During Q2 of Financial Year '25-'26, 597 retail outlets were commissioned, taking the total number to 41,263.

Our lube business achieved 21% growth in total lube sales and 11% growth in automotive lubes. During H1 of Financial Year '25-'26, our lube market share achieved 9% growth among PSUs and 5% growth among industry.

Petrochemicals :

The sales of petrochemical products, including exports, during this quarter was 0.77 MMT as compared to 0.83 MMT in the preceding quarter. Sales for Q2 of Financial Year '24-'25 was 0.77 MMT. On a half-yearly basis, petrochemical sales in H1 of '25-'26 was 1.602 MMT, were more than the sales recorded in H1 of '24-'25, which was at 1.517 MMT.

Gas:

During the year, we registered highest quarterly gas sales of 1.840 MMT, which includes CGD sales of 44 TMT as compared to total gas sales of 1,685 TMT. It includes CGD sales of 41 TMT during the preceding quarter, that is, Q1 of Financial Year '25-'26. On 1st August 2025, Indian Oil and Trafigura Pte Limited signed a confirmation memorandum for the supply of approximately 0.4 MMT PA LNG from July 2025 to December 2029 under Indian Oil's first Henry Hub Link mid-term contract, with the first LNG cargo delivered on 10th August 2025 at Dahej.

Biofuels and renewable energy :

During April to September 2025, we have achieved ethanol blending percentage of 19.85% on an all-India basis, which is slightly higher than the industry blending percentage of 19.83%. The company is working to develop 31 Gigawatts of renewable energy by 2030. The same will be achieved through wholly-owned green subsidiary Terra Clean Limited and JV company with NTPC Green Energy Limited.

We are setting up the country's largest green hydrogen plant of 10 KTA at Panipat refinery. To promote hydrogen mobility, we have set up India's first hydrogen dispensing station at our R&D center in Faridabad, followed by a station in Gujarat refinery, where field trials on fuel cell buses are being undertaken. Indian Oil has introduced 15 hydrogen fuel cell buses along with Tata Motors Limited for operational testing in Delhi NCR and Gujarat regions.

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Indian Oil will develop two new hydrogen dispensing stations along Mumbai-Pune and Jamshedpur-Balasore corridors. We are also undertaking a viability study for Hyundai Nexa hydrogen fuel cell electric vehicle, FCEV, through a two-year real-world test.

Indian Oil and Air India have signed a memorandum of understanding for the supply of SAF, that is, sustainable aviation fuel, from December 2025. Further, with Indian Oil being the only certified company to produce SAF from used cooking oil, a rate contract has been finalized for the supply of treated used cooking oil to enhance SAF blending.

CAPEX :

During April to September 2025, the company incurred a total CAPEX of Rs. 15,890 crores, encompassing investment across all verticals. The budgeted CAPEX target for the Financial Year '25-'26 is Rs. 33,494 crores. These investments are aligned with our long-term strategic roadmap and national energy priorities.

Borrowings :

With respect to the borrowing levels, the borrowings as on 30th September 2025 have increased by about Rs. 6,692 crores and is at Rs. 1,28,239 crores level as compared to Rs. 1,21,547 crores as on 30th June 2025. The increase in borrowing was mainly on account of working capital

changes and foreign exchange translation.

With the current debt -to-equity ratio of 0.68 as on 30 th September 2025, Ind

ian Oil is

comfortably placed to fund the ongoing CAPEX plans.

Let me take a pause here and request Director (Finance) for his further remarks.

Anuj Jain: Thank you, Nitin. Despite global volatilities, uncertainties and evolving market challenges, Indian Oil stands resilient and future ready . Guided by our unwavering commitment to the nation's energy security and supported by the strong operational capabilities, integrated value chain, and an agile workforce, we will continue to power India's growth story. As the country's energy needs expand, we remain firmly focused on ensuring reliable, sustainable, and uninterrupted energy supply while advancing our vision of building a cleaner and more self-reliant energy future for India.

I extend my sincere gratitude to our shareholders, employees, partners, and all stakeholders for their unwavering trust and support. With this strong foundation, we are confident in our ability to deliver sustainable value and long-term growth, even in the face of a dynamic and challenging external environment. Jai Hind, Jai Indian Oil.

I will end my briefing here. We will now take your questions. Thank you.

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Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: I have a couple of questions. First was with respect to the LPG recognition. I believe the CFO, sir, mentioned that this will be recognized on an accrual basis in revenue. I just wanted to reconfirm that it will not be shown as other income, but it will be recognized as revenue. Is that correct?

Anuj Jain: Yes.

Probal Sen: So, every month, the proportionate installment will be basically booked as revenue, sir, on the LPG front, right?

Anuj Jain: Yes.

Probal Sen: Just another follow-up on the same thing. What is the loss per cylinder that we saw in Q2 ? And what is the loss per cylinder right now, if you can get a sense?

Anuj Jain: As on date, the loss is around Rs. 40 per cylinder.

Probal Sen: And in Q2, sir, what was the number?

Anuj Jain: Q2, almost it was Rs. 100 per cylinder.

Probal Sen: Q2 was Rs. 100, and it has dropped drastically to about Rs. 40 per cylinder right now.

Anuj Jain: Yes.

Probal Sen: Third question, sir, was on the refining margins, the kind of outperformance that we have seen. Is there a significant amount of Russian crude that is still there in percentage terms ? Is it possible to share how much of Russian crude was there in Q2?

Anuj Jain: In Q2, we have been maintaining somewhere around 18% to 19% in that range in Q2.

Probal Sen: And the discount is down to somewhere around \$2 to \$3. Is that understanding correct , sir?

Anuj Jain: Discount has been consistent over the past 5, 6 months. There is no major change in the discount in the past 5, 6 months.

Probal Sen: And that is around \$2 to \$3 a barrel?

Anuj Jain: Yes.

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Probal Sen: Sir, I just wanted to understand if we look at the benchmark margins, if you can indulge me for a minute , the calculated margins seem to be a bit lower. So, I mean, just the diesel cracks is actually helping offset negative discounts for all the other products. Is that what we are really seeing ? Or is it refinery efficiency also that's playing out in terms of such a robust GRM performance for this quarter?

Anuj Jain: See, if you talk about the refining performance, the cracks of HSD has been quite good. If I talk about the HSD cracks , you know, the cracks is more than it was around 10 last year, which has been 14 this year. And the MS also, last year it was 4. Now it is almost 6. The cracks of both MS, HSD, which are the significant portion of our product, they have very high margins coupled with, we have a very good operational pe

rformance also. So, in all the parameters, I think they were good margins for the refining sector.

Probal Sen: One last question, again, a clarification, sir. I couldn't catch the commentary. How much is the LNG supply agreement with Trafigura? And what are the terms of that in terms of pricing?

Anuj Jain: Just a minute.

Nitin Kumar: So, the term is supply of approximately 0.4 MMTPA per annum, right, of LNG from July 2025 onwards through December '29.

Probal Sen: July '25 to December '29. Thank you so much, sir. I will come back if I have more questions.

Moderator: The next question is from the line of Sumeet Rohra from Smartsun Capital. Please go ahead.

Sumeet Rohra: Sir, firstly, I would like to congratulate you and your entire team at Indian Oil for posting a superb set of results and also season's greetings for you, though it is a bit too late. Sir, now, firstly, I would like to just touch upon a few things to you as thank you, sir, as an investor.

Sir, today, it is very heartening to see your presentation Sprint. And in that, Indian Oil is about 3% of India's GDP. Now, sir, 3% of India's GDP is nearly Rs. 12 lakh crores. Okay. And today, if you look at it from an investor angle, our market cap is around Rs. 2-2.5 lakh crores. I mean, Rs. 2 lakh crores rather in spite of having an asset base of nearly Rs. 5.5 lakh crores.

Today, sir, it is a proud fact for India that about 3.5 crores Indians use the Indian Oil fuel pump on a daily basis. So, very clearly, on one side of the equation, you are doing a fantastic role on energy security of India, the consumers of India are using.

But sir, as an investor or as being India's national asset, the company is not being valued. I mean, today, having a market cap of barely Rs. 2,10,000 crores is clearly not in the right spectrum of things because today our valuation is being valued like a commodity company. But the matter of fact is that you are a consumer company, right, because 3.5 crores Indians use it. I mean, you are 2% of India's corporate profit.

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Sir, today India makes about Rs. 15 lakh crores, and Indian Oil makes about Rs. 35,000 crores. But the matter of fact is that there is some disconnect somewhere where Indian Oil and rather the oil marketing companies are not getting the valuation which they should get. The matter of fact is that the Government of India has also now paid the LPG money, of the Rs. 300 billion, which you highlighted monthly is going to come.

So, sir, the fact of the matter is that these are very valuable companies, but somehow the market is not getting the confidence in the earnings. So, I would, sir, request you to please give the market some confidence on the earnings aspect because otherwise, a market which trades at 22 PE, there should be absolutely no reason why not only Indian Oil, but all the oil marketing companies trade at sub -6PE with ROEs of 22%.

So, I would really request you that the management should explicitly give the market more confidence on earnings because even the refining cycle is in your favor, crude is in your favor, Government of India is in your favor. The company is doing very well. But somehow the investors are not getting the confidence. So, I would only humbly request you to please give some confidence because you guys are doing a superb job. So, there is nothing I have to ask you because Russian crude, sir, whether it's 15%, 20%, it's all optics, right? Because it is going to move the needle hardly a few crores here or there. So, please give the market confidence is all I request you. I wish you all the best. Good luck, and God bless you also.

Anuj Jain: Thank you. I think you have given my answer itself that the four factors, crude is in our favor, refining margins are quite good, government has been quite supportive, overall ecosystem is quite supportive of

the oil and gas sector today. So, I think, Sumeet, you have already given the positive news, what I wanted to give to the people. And I feel that, given the performance we had in Q2 and the other factors, what you mentioned, we should have a good profitability for this year.

Moderator: The next question is from the line of Vivekanand from Ambit Capital. Please go ahead.

Vivekanand: I have two questions. So, the first one is an update on Project Sprint, especially with respect to the cost saving initiative that you highlighted. If I remember correctly, you had said that you would be able to optimize your costs by around 20%, and you had given some timelines as well. If you could give us an update on that and more granular details of where these cost savings have come and how we should think about the operating costs, say, for FY '26 overall and '27, that is question one.

My second question is on the Panipat Refinery expansion progress. Where does it stand currently? And what is the refinery throughput on a standalone basis that we should assume for Fiscal '26 and '27?

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Anuj Jain: See, I think Project Sprint is not only for the revenue expenditure, it is for the capital expenditure as well. What we are doing is to optimize wherever there is CAPEX or revenue, both sides we are trying to optimize.

So, as far as the specific numbers are concerned, I think we are still, we started our journey from April, and it is a three-year project. So, it will not be possible for me to give you specific numbers because many expenses in the initial months would have got deferred, which might come in the second half. But I would be sharing that, what we are assuming is that it should be a very, very positive way of reducing our cost. But as on date, it will be difficult for me to share any specific number because this is an ongoing year.

So, the things have been, we are discussing with the teams, and teams are working to optimize. But I will say the cost is being optimized not only on retail, it is on LPG, it is on aviation, operations. All the major verticals of Indian Oil, refining, pipelines, marketing, are working to reduce the cost. What the target has been given is to reduce the cost by 20% of the budgeted numbers. That target has been given, but we all have our budgets which are on the higher side. So, all in all, I would say maybe by 3rd Quarter end, we will be able to give you some specific figures.

As far as the Panipat is concerned, we are expecting that the refinery should come on commissioning by June '26. And the basic capacity is 10 MMTPA. So, the first year, generally, we assume that it should give me a 60% throughput of the total capacity. And today, almost 90% physical progress we have already obtained.

So, in other words, as I said, June '26, for that, already 90% of the work has been done. So, in the next now 7, 8 months, balance 10%, other activities will be done. And in the first year, we should expect 60% of the installed capacity.

Vivekanand: Just one follow-up. If you could perhaps give us some sort of guidance on the refinery throughput that we should be budgeting for FY '26 and '27. Last year, it was 71.6 MMTPA. Do you have any rough cut sense in mind given that there are multiple refinery projects with varying stages of progress? So, it would be easy for us to track you and assess the company's performance thereof.

Anuj Jain: Just give me one minute. I will be able to give you these numbers. So, basically, what we are seeing that, just one minute. See, normally, our capacity utilization remains more than 100%. So, if my installed capacity as far as '25-'26 is concerned, which is going on because all the commissionings are coming next year, so if I talk about Indian Oil alone, it should be around 72, 73 something. So, my installed capacity is around 72.

Niti

n Kumar: 72.

Anuj Jain: Yes, I am talking about only Indian Oil as a standalone, not including CPC L.
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Vivekanand: Right. And sir, do you have any thought process in mind as to what the throughput will be for '26 and '27? You can perhaps discuss and maybe revert on this later. No problem.

Anuj Jain: Okay. But '26, '27 should be higher than that 4 to 5 MMTPA.

Vivekanand: Understood.

Moderator: The next question is from the line of Puneet from HSBC. Please go ahead.

Puneet: My first question is on the PetChem side. We haven't seen any material increase in PetChem margins per se, but you have been able to demonstrate a nice uptake and return to profitability at EBIT side. Can you talk about the reasons for the same?

Anuj Jain: I feel we had some units under shutdown last year, which are now working this year. So, as such, our quantum has gone up. But on the whole, I think the PetChem margins still remain constrained. We are still seeing that the margins have not improved much, but we hope that in times to come, the PetChem margins will also go up.

Puneet: But you should think that for the rest of the year, you should be on a positive number for PetChem as well.

Anuj Jain: Yes. Numbers are positive. In any case, we have a positive contribution to our EBITDA. Only thing is the type of margins we have seen in the past, we are not seeing it today. We earned more than Rs. 2,000 crores PetChem margin during the 6 months which was almost 25%, 33% higher than the last year because of the improved margins this year.

Puneet: And can you also give us a breakup for your CAPEX plan for this year?

Anuj Jain: See, CAPEX, we have always been sharing that ours will be approximately Rs. 33,000 crores for FY '25-'26. And if you want some major projects, I can share with you. You want that?

Puneet: Yes. Major projects and also your CAPEX towards renewables, if you can talk about that.

Anuj Jain: See, refining would be almost Rs. 14,000 crores. And marketing and pipelines put together would be another Rs. 10,000 crores. My PetChem should be around Rs. 2,500 crores.

And now, coming to specifically what you were asking for my renewables, see, lot of renewables are going through a joint venture and subsidiary mechanism in our system. So, we do equity contribution in that, and we expect to contribute almost Rs. 2,000 crores in those JVs and subsidiaries this year. In any way, once we give the money to them, there is a JV partner who brings the additional money. The net result would be debt funding also. So, for my Indian Oil books,

it should be around Rs. 2,000 crores for the Financial Year '25-'26.

Puneet: And then there is only one JV, right, with NTPC ? Or is there more that you formed?

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Anuj Jain: No, we have a subsidiary company called Terra Clean , which is 100% like NTPC Green. We have also opened a company. So, we are having a big target for that company.

Puneet: So, there is no specific CAPEX for Terra Clean ?

Anuj Jain: Terra Clean itself has a target of 30 Gigawatt by 2030. So, if you break up each year, they should be commissioning 4 to 5 Gigawatt of power. So, their targets are very, very different. But since we have started the journey, maybe one or two years, the activities will go on, but the outcome will not come. Our equity funding will go from our side.

Puneet: That's very helpful. Thank you so much. And lastly, if you can just elaborate a bit more on the GRM side, other than the better diesel cracks , what else would you attribute your expansion of margin to?

Anuj Jain: See, predominantly, if this quarter is concerned, it has been a better operational performance also. And it is also due to my better cracks refining margins. Refining cracks have been quite good this year. And I would

also share with you if I have some other things.

See, we have also had more of a, you know, because we sometimes gain on the freight side also because we are taking both on a DAP and FOB basis. And sometimes if we are taking it on DAP basis, that also gives me a positive margin, which was also positive for this quarter.

Puneet: And is that sustainable?

Anuj Jain: See, I told you, it is all shipping freight market is quite volatile because we also have our time charter vessels . So, it all depends upon the because one, we do a tender, we give an open offer whether you want to give us on an FOB basis or a delivered basis. So, depending upon the optimization of the seller, we get the benefit.

Puneet: Lastly, if you can tell what is the crude from Russia for the current quarter so far?

Anuj Jain: I just shared with you in the beginning itself that it is around 19%.

Puneet: The same run rate continues from the previous quarter.

Anuj Jain: No, quarter 1 was higher. Quarter 2 is slightly down because overall throughput is down.

Normally, the Quarter 2 throughput is always down because of the rainfalls.

Puneet: And the Quarter 3, I mean the October one.

Anuj Jain: October , it just started. We are still continuing to procure the Russian crude.

Puneet: Fine. That's helpful.

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Moderator: The next question is from the line of Yogesh Patil from Dol at Capital. Please go ahead.

Yogesh Patil: Questions are mostly related to the understanding of the LPG under -recoveries and the over -recoveries. In our result note, categorically mentioned that LPG compensation will cover the losses till the end of FY '26. So, whatever under -recoveries in the first half FY '26 will be the part of that compensation, and we will not get any separate compensation for the first half FY '26 amount. Is that a correct understanding?

Anuj Jain: See, what we have been informed is that the government has, as of now, given Rs. 30,000 crores under -recovery for the under -recoveries on LPG. So, we are still, LPG is a controlled product.

Okay. So, as of now, they have given Rs. 30,000 crores , but we continue to get engaged with the government, and we will definitely pursue for the under -recoveries of the balance amount because MOPNG is also maintaining always that it is a continuous account because now the Saudi CP has come down. So, we may not have a huge under -recovery in the next few months.

And in the past also, we have seen in some months we get an over -recovery also. So, government will take a situation on a cumulative basis at the end of the financial year '25-'26, and then we will see what will be the situation.

Yogesh Patil: So, we will have a window to ask them for the FY '26 under -recoveries if it is increasing.

Anuj Jain: Yes, it would be there.

Yogesh Patil: So, the windows will be open.

Anuj Jain: Yes.

Yogesh Patil: Sir, quickly, the second question is related to what exactly you mentioned. The Saudi CP has come down, and from the next month, it is declining 6%. So, definitely , LPG under -recoveries will be nil. Is that a correct understanding from the next month?

Anuj Jain: No, it won't be nil.

Yogesh Patil: It would be hardly Rs. 10, Rs. 12, correct? Not more than that.

Anuj Jain: No, no. It should be more than that. I think it should be around Rs. 25 to Rs. 30.

Yogesh Patil: And lastly, suppose from here, from November onwards, if it falls below 10%, 20% again, then

the over-recoveries would be there. Okay. And in that case, that same over-recoveries can be settled against the under-recoveries of the first half FY '26. Can you just clarify?

Anuj Jain: See, it is a continuous account. I just said they will see on a cumulative basis. They don't see on a month-to-month basis. At the end of the Financial Year '25-'26, they will take a total position, what has been the

under-recovery of '24-'25, '25-'26, what has been given to us, and then they will take a call.

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Yogesh Patil: So, sir, lastly, just let me reframe my question. Suppose, after December 2025, we start earning the over-recoveries on the sale of domestic LPG, and that over-recoveries or kind of a profit will be transferred to the buffer account. As you mentioned that this is a running account, buffer account is a running account, and the settlement will be a continuous process, so do we need any kind of permission from the government to take out that profits or over-recoveries from that buffer account and settle on our historical under-recoveries? Do we need any kind of MOPNG permissions or the government permissions to settle this account?

Anuj Jain: See, this is the account which we submit, all the oil marketing companies submit our figures to the MOPNG. In any case, everything is decided on LPG. See, we understand LPG is a controlled product even today. So, everything we have to submit. Based on our submission, they will take a decision.

Yogesh Patil: So, the ministry and the petroleum ministry and the government will take a decision on that side.

Moderator: The next question is from the line of Nitin Tiwari from PhilipCapital India Limited. Please go ahead.

Nitin Tiwari: Sir, my first question is, with respect to your lubricant division. So, can you give us the sales number for the entire first half, your lubricant sales, and what percentage of that was auto sales, and the same for FY '25 as well?

Anuj Jain: Basically, normally, we give the total numbers. If you want, I can share with you. See, as far as within the PSU segment, Indian Oil commands 48% market share. Okay? So, you want exact numbers?

Nitin Tiwari: Yes, sir. Exact number would be good if we can have the number for first half and FY '25 in terms of what was the total lubricant sale and also what was the automotive component out of it. So, the automotive component --

Anuj Jain: I will get it emailed to you. Fine. I will get it emailed to you.

Nitin Tiwari: Sure.

Anuj Jain: I can share the market share of Indian Oil amongst the PSUs. We are almost 48%.

Nitin Tiwari: Among PSUs, you have 48% you mentioned.

Anuj Jain: Yes, normally in the range of 360 metric ton to 430. That is the range what we do. I will give it to you. I will send it to you.

Nitin Tiwari: Sure, sir. I will connect back with you for the details on email, sir, certainly. And sir, on the CAPEX guidance front, as you indicated that, like, your annual CAPEX is Rs. 34,000 crores, Rs. 33,000, Rs. 34,000 crores. So, in light of Project Sprint, would it be reasonable for us to

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assume that once you have realized the gains of Project Sprint, your CAPEX should actually come down by 20%? Would that be the right assessment?

Anuj Jain: See, there are two parts of the CAPEX. One is the project, big projects, okay. In any case, that is independent. That is a return what we have to spend. We have also a lot of maintenance CAPEX what we do. We have 40,000 retail outlets pan-India. So, we continuously invest money in upgradations and those things. And we have so many other refineries, 9 refineries, 20,000 kilometers pipeline.

So, you see the existing size itself demands a lot of maintenance CAPEX on them or investment CAPEX. So, what we are trying to do is maximize our CAPEX on the new investments but try to optimize on our existing CAPEX actually. This is what the strategy is.

Nitin Tiwari: I understood, sir. What percentage of your CAPEX is actually the maintenance CAPEX, if we can have a rough ballpark around that?

Anuj Jain: This will be very difficult. See, now if you talk today, a lot of big projects are going on. So, that means CAPEX percent

age would be down. It may be 10% to 15% today. But when the project gets commissioned, this percentage may go up. It all depends how much CAPEX we are incurring on the new expansions and those things.

Nitin Tiwari: No, sir, I am just trying to get an understanding around what kind of a CAPEX saving we can,

perhaps, see on an ongoing regular basis once your Project Sprint optimization materializes. If you can just help us.

Anuj Jain: See, generally, we should be spending Rs. 30,000 crores to Rs. 40,000 crores going forward together, ourselves or with our JVs and subsidiaries where we put some of the investments.

Together, we should be in the range of Rs. 30,000 crores to Rs. 40,000 crores .

Moderator: The next question is from the line of Vikash Jain from CLSA. Please go ahead.

Vikash Jain: So, two, three questions. First is accounting for this LPG reimbursement. The government has already promised, given us a schedule of this is how the money is going to come. Doesn't it mean that it gets accrued to us? So, shouldn't it be accounted for immediately itself that it is just getting paid at a delayed way? Like this is exactly how it used to happen at the time of oil bonds also.

There was a promise, and then they were paid. So, any particular reason why we have chosen a different kind of accounting, more or less, like cash accounting instead of when it gets accrued?

Anuj Jain: Vikash ji, see, LPG is a controlled product, and we are guided by the communication received from the ministry. As of now, it has been conveyed to us that the income will be accrued to the company on a monthly basis. So, based on the communication we have received, we have to account for whenever the accrual happens to the oil marketing companies.

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Vikash Jain: So, basically, the payment will be whatever your amount is, Rs. 14,500 roughly divided by 12. That is equally paid every month starting November. Is that how you expect it to happen? Is that how it is promised to be paid out?

Anuj Jain: See, the interpretation is the government will communicate, on accrual basis, whatever is to be given to us. And accordingly, we will be doing the accounting. But the way we see that, it should be coming to us on a monthly basis, the amount which has been informed to oil marketing companies.

Vikash Jain: So, it is equally divided through 12 months. That is what you think.

Anuj Jain: I don't have an exact, but yes, it should be like that.

Vikash Jain: So, we will only come to know the exact amount for November when it is communicated, right?

Anuj Jain: See, as of now, you can consider the amount in equal installment. But if it changes, we have to change our accounting thereafter. But as of now, we have also estimated the same amount in our cash flow.

Vikash Jain: And in terms of the other two refinery expansions that you have in Gujarat and Barauni, like you gave an update on Panipat, could you just provide a similar kind of an update on them? When is it expected? By when do you think you can, you know, how the ramp-up would be to get to full capacity both for the main CDU as well as the upgrader units for there?

Anuj Jain: See, as far as the expansion in Gujarat is concerned, that is also expected to come in the month of June '26. And Barauni expansion will start commissioning in stages with effect from August '26. So, both the commissionings are falling in the next financial year.

And the physical progress, if I see, generally, in our companies, we see how much progress has been made. So, in Gujarat refinery, we almost touch 84% physical progress, and in Barauni, 88%. So, for us, these numbers are very important to see how much percentage physical progress has been done on the site. Once it reaches 100%, the commissioning activities will commence.

And then here and there, a few months, it gets com

missioned.

Vikash Jain: And should we, as a thumb rule, assume that the first 12 months after commissioning, the utilization of the incremental capacity will be about 60%?

Anuj Jain: Yes. This is a standard, we have been following, 60% first year. And depending upon the successful commissioning, I think sometimes 80%, sometimes 100% also because these are expansions of brown field. Generally, on a green field, we consider 60%, 80%, 100%. But since these are expansions, we are expecting 60% first year and trying to improve beyond 80% in the second year.

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Vikash Jain: And sir, although you know that we typically, it gets talked about in terms of CDU utilization, but refining margins only come when upgrader units also ramp up. So, for each of these refineries, by when do you think after commissioning would the real gains on refining margins be visible? Would it be almost like 4, 5 quarters plus from the commissioning?

Anuj Jain: It should be a month before that because these are all expansions of our existing refineries. So, the way we are configuring it, the moment the primary units are running, because these are all going to be connected with many of our existing units, utilities. So, the ramp-up should be quick, that is a strategy also to have a brownfield expansion. That is the idea behind the exact, that we should have a quicker upgradation.

Vikash Jain: And sir, other than these three very clear volume expansions that the company is doing in refining, are there any other projects which are in advanced stages at this juncture, either in PetChem or in refining, and if you could give an update on that in terms of where we are?

Anuj Jain: See, now we have a major PX-PTA contract at Paradip Refinery, which is costing me almost Rs. 14,000 crores, and the commissioning is expected in the 3rd Quarter of '26-'27. And then we have another plant in Panipat, Poly Butadiene Rubber plant. That is a Rs. 3,000 crores plant. Here also, we are expecting by June '26 that it should get commissioned. And even in PX-PTA, the physical progress is almost 90% now. And in the PBR plant at Panipat, the physical progress is now almost 70%. And apart from that, since we have a refining system coming, we are spending on the pipelines from Mundra to Panipat. That is a Rs. 10,000 crores project. We are upgrading new refinery, new pipelines. So, small, small many other CAPEX projects are going on.

Moderator: Moving further, the next question comes from the line of Sabri Hazarika from Emkay Global Finance Service. Please go ahead.

Sabri Hazarika: So, just two questions, one small one. So, firstly, this acrylic plant, you said when was it commissioned?

Anuj Jain: It was commissioned in the month of July.

Sabri Hazarika: And can you give the unit economics of this plant in terms of how much was the CAPEX and what revenue and EBITDA you are building it? Also, a realistic revenue and EBITDA given the current cycle.

Anuj Jain: Just give me one minute. Since it got commissioned, I have not kept the figures. Give me one minute. Have you any other question by the time I?

Sabri Hazarika: The second question is this Ennore, Tuticorin, Bangalore pipeline. So, this pipeline is completely ready or is there anything pending here? Has it been connected to the national grid?

Anuj Jain: As per my information, as of now, it has not been connected.

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Sabri Hazarika: So, Bangalore part is not connected. So, it is still stranded only towards Tamil Nadu, right?

Anuj Jain: Yes. As far as the Oxo-alcoholic project is concerned, it has costed me Rs. 6,000 crores.

Sabri Hazarika: Rs. 6,000 crores. Okay.

Anuj Jain: Yes.

Sabri Hazarika: And how much revenue are you thinking of earning from this?

Anuj Jain: See, normally, if you

see any project should give me a return of around 11%. So, for your workings, whenever we commission based on my CAPEX, you can build in the revenue of 11% in your workings. And generally, the ramp-up is around 60% in the first year again. And PetChem should come to around 80% next year and third year, 100%.

Sabri Hazarika: 11% to 12% project IRR. Is that right?

Anuj Jain: You can keep it at 11% as of now because the margins are quite subdued in all the PetChem cycle.

Sabri Hazarika: Sir, just one small follow-up, which I think the previous participant asked. So, right now, if I see the buffer, your buffer is, say, Rs. 26,000 crores, but negative buffer is Rs. 26,000 crores. But in Q1, you have made Rs. 3,700 crores loss. In Q2, it was down to Rs. 2,100 crores. Suppose in Q3 you make a profit of, say, Rs. 500 crores. So, that Rs. 500 crores will directly accrue to your P&L or it will be zero?

Anuj Jain: It will be adjusted against the under-recoveries incurred in the past quarter.

Sabri Hazarika: So, that Rs. 500 crores will directly come to your P&L, right?

Anuj Jain: As I said, suppose two quarters we have an under-recovery and third quarter we have an over-recovery. When we see the total in cumulative end of March '26, everything will be clubbed together.

Sabri Hazarika: Yes, so whatever is pending will get accounted in the books at the end of March.

Anuj Jain: That we will ask from the government to give us the compensation.

Sabri Hazarika: I am just wondering if there could be a positive impact from that, since the negative impact has --

Anuj Jain: So, even if the positive comes, it will get adjusted against the past under-recoveries suffered by us.

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Sabri Hazarika: Yes, but for that quarter, it will be positive only.

Anuj Jain: But it will not be taken in my P&L (In case of positive buffer balance).

Sabri Hazarika: It will not be taken in your P&L, right? It will be zero or negative. But if the compensation comes, then it will come as a separate thing only, not from here.

Anuj Jain: Yes, suppose the over-recovery happens (on overall basis), it will be shown as a payable.

Sabri Hazarika: It will be shown as a payable despite the fact that you have got outstanding. Okay.

Anuj Jain: Yes.

Moderator: The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: Just on inventory loss, could you give the total loss number in the quarter? Or was it a gain if it was a gain?

Anuj Jain: See, as I have said that in this Quarter 2, we had a gain. And Quarter 1, we had a loss. On a cumulative basis, we still have an inventory loss.

Amit Murarka: Could you quantify that? I think Q1, you had mentioned Rs. 6,500 crores of loss.

Anuj Jain: So, basically, just excuse me. My colleague will be answering this query to you or we will send it to you through your email. Can you go to the second question because we have to just finish in a few minutes? We will send it across to you.

Amit Murarka: Also, on the Russian crude, I think there was a comment made that you would be complying with the sanctions. So, I believe you buy from the spot market, which do not have a designated source when you buy it like that. So, does it mean that you would be avoiding Russian crude completely, given that the spot market do not distinguish between the source of the crude?

Anuj Jain: No. See, we are absolutely not going to discontinue as long as we are doing the compliance of the sanctions. Today, from Russia, Russian crude is not sanctioned. It is the entities and the shipping lines which have got sanctioned. So, today, if somebody comes to me which is a non-sanctioned entity, and the cap is being complied with, the shipping is okay, then I will continue to buy it.

Amit Murarka: But do you know the source of

the crude when you are buying from the spot markets?

Anuj Jain: Yes, yes. Certificate of origin is a part of the standard documents being taken for the banking whenever you make the payments.

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Amit Murarka: Fine. So, as of now, there is no, I mean, avoidance of Russian crude. It is just that those two entities you would avoid from, essentially.

Anuj Jain: Apart from these two entities, there have been entities in the past also. So, we maintain all the data bank, and when we purchase, we ensure that we comply with all the international sanctions, whatever are applicable on that date.

Amit Murarka: That's all from my side.

Moderator: The next question is from the line of Maulik Patel from Equi rus. Please go ahead.

Maulik Patel: Just one question. In the last three years, you have bought approximately 2.4 million tons of, and in a medium-term LNG. Two deals, I think you have done on an oil link, one with ADNOC and I think it is with Total. I am not sure. And third, which you have signed recently with O.4, with Trafigura on a HS basis. So, this 2.4 million tons of LNG, which you are going to get, you are going to use it internally on your refineries. And what is basically you are going to market in a market?

Anuj Jain: See, we have both the portfolios. We use it internally also. We sell it to our customers also. So, we have a multiple source of buying, and we have a multiple source of selling our LNG.

Maulik Patel: But is there any strategy that you want to use more of the gas internally? Because there is the contract which you have signed is significantly lower than the current spot price. Spot is currently at \$11. You are getting at around \$12.5 for those crude-linked volumes. The price will be at around \$9 somewhere on a DES basis. Will you use more of the gas internally for refinery and the cracking utilities?

Anuj Jain: See, for everything, we have optimization. Suppose in our refinery, we have a demand, and we have a demand from the customer. I will see what is the alternate cost of my fuel if I use it in my own fuel in that system. So, if I am using my own fuel, I can sell it outside. Why not? But if I have a cost, you know, it is all depending upon the cost of your own fuel also in the refining system. So, that is a day-to-day work, what our teams do. They will always see whether it is more beneficial to sell or it is more beneficial to consume it internally.

Anuj Jain: Thank you. I think we can finish it now.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Varatharajan for closing comments.

V. Sivasankaran: Thank you, Swapnali. Sir, if you have any closing remarks, please go ahead.

Nitin Kumar: Thank you all for your time and insightful questions. On behalf of the entire Indian Oil team, I appreciate your continued trust, confidence, and support. We value our engagement and look

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forward to future interactions and keeping you updated on our progress. Stay safe and take care.

Thank you.

V. Sivasankaran: Thank you, sir. I wish to thank the IOCL management for giving us the opportunity to host the call, and thank all the participants for taking out time to attend this call. Thanks, everyone. Have a nice day.

Moderator: Thank you. On behalf of Indian Oil Corporation Limited, that concludes this conference. Thank you for joining us today, and you may now disconnect your lines.

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"Indian Oil Corporation Limited
Q4 and FY '26 Earnings Conference Call"
May 19, 2026

MANAGEMENT : M R. ANUJ JAIN – DIRECTOR FINANCE – INDIAN OIL
CORPORATION LIMITED
M R. NITIN KUMAR – EXECUTIVE DIRECTOR
CORPORATE FINANCE AND TREASURY – INDIAN OIL
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MODERATOR : M R. VARATHARAJAN SIVASANKARAN – ANTIQUE
STOCK BROKING LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Q4 and FY '26 Earnings Conference Call of Indian Oil Corporation Limited, hosted by Antique Stock Broking. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Varatharajan Sivasankaran. Thank you, and over to you, sir.

Varatharajan S: Thank you, Danish. A very good afternoon to all the participants and the management of Indian Oil Corporation. I'd like to extend a very warm welcome to all the participants and the management of Indian Oil Corporation for this conference call to discuss the fourth quarter FY '26 numbers. We have with us management of Indian Oil Corporation, represented by Mr. Anuj Jain, Director Finance; Mr. Nitin Kumar, ED Corporate Finance and Treasury; Mr. Pramod Jain, CGM Treasury.

Without much ado, I'd like to hand over the call to Mr. Anuj Jain for his opening remarks. The floor is yours, sir.

Anuj Jain: Yes. Thank you. Good afternoon, everyone. Dear Investors and Analysts, a very good afternoon to all of you. I take this opportunity to welcome all of you to the Conference Call organized by us, post announcement of the 4th Quarterly results of FY 2025-26. I thank each one of you for joining the call. I trust you have had an opportunity to review the results we have posted on our website, exchanges and the updates that have been shared with all of you.

In today's call, we would like to walk you through our performance for the quarter gone by, provide some insights on the broader macroeconomic context, and also share with you the strategic initiatives we are pursuing to strengthen our position as India's largest energy company. Before I move to the operational and financial highlights, let me briefly touch upon the evolving geopolitical developments and their implications for the global energy markets.

The ongoing conflict between the United States and Iran and the consequent disruption in the Strait of Hormuz have created significant uncertainties across the global hydrocarbon supply chain and in India. As you are aware, the Strait of Hormuz normally handles nearly one-fifth of

the global oil trade and remains one of the most critical energy transit corridors in the world. Due to the escalation in regional tensions, vessel movement through the Strait has witnessed a severe contraction, resulting in heightened volatility in crude oil, LPG, and natural gas markets. The Ras Laffan LNG complex in Qatar, which accounts for approximately 20% of global LNG supply, has been subjected to attacks, compelling the operator to declare a force majeure, Indian Oil Corporation Limited
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resulting in acute supply disruptions and significant tightening of gas availability globally. These developments have created headwinds of an extraordinary nature, not merely a market challenge, but a structural supply disruption of global consequence.

In response, IndianOil, in close coordination with the Government of India, has acted swiftly and decisively to navigate this situation and to ensure uninterrupted energy availability across the country. We have ensured comprehensive supply continuity including diversifying our crude and gas sourcing across alternate geographies and

trade routes, optimization of crude procurement strategies and ramping up of domestic LPG production.

Now turning to our operational performance for FY 2025-26, notwithstanding the turbulence in the external environment, I am proud to report that this has been a landmark year for Indian Oil on virtually every operational dimension.

During the year, we recorded the highest-ever annual refining throughput in the Company's history, achieved record consolidated annual sales volumes, highest-ever lubricants sales, and also registered the highest petrochemical sales volumes for the year.

This year, from the perspective of profit, profit after tax is Rs. 36,802 crores in financial year 25-26 as against Rs. 12,962 crores in financial year 2024-25. This quarter, we have registered a PAT of Rs. 11,378 crores vis-a-vis preceding quarter, which was Rs. 12,126 crores.

Revenue from operations during this quarter stood at Rs. 2,32,855 crore against Rs. 2,31,769 Crore in the immediately preceding quarter of this year. The sequential increase in revenue was primarily driven by a significant improvement in sales volumes across key business segments during the quarter. The revenues for the corresponding quarter of FY25 was Rs. 2,17,725 crore. On yearly basis, the revenue for the FY 2025-26 is Rs. 8,86,224 crore vs Rs. 8,45,513 crore for the preceding financial year (FY 2024-25).

These achievements reflect the strength of our integrated business model, robust infrastructure network, operational excellence, and the unwavering commitment of our employees across the country.

I would like to reiterate that despite the challenging global environment, IndianOil remains fully committed to ensuring uninterrupted energy supply to the nation while maintaining operational resilience across the value chain. We continue to maintain strong focus on project execution and long-term strategic growth initiatives. We remain committed to timely completion of these projects to support India's growing energy demand and the nation's energy transition objectives. Now the operational and financial highlights will be briefed by Shri Nitin Kumar, Executive Director, Corporate Finance and Treasury Indian Oil to you. Thank you.

Nitin Kumar: Thank you, sir. Dear investors and analysts, very good afternoon. Kindly note that today's discussion may include forward-looking statements, which are based on currently available information, assumptions, and expectations, and are subject to uncertainties that could cause actual results, performance, or achievements to differ materially from those expressed or implied.

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Participants are advised to refer to the Company's latest filings with regulatory authorities for a more detailed discussion on the risks and uncertainties. The past quarter witnessed important developments both globally and domestically.

On the global monetary front, the U.S. Fed has kept the interest rate unchanged in range of 3.50 - 3.75%. RBI has also kept interest rate unchanged at 5.25%, maintaining a neutral stance.

Energy prices have increased globally due to supply disruption in Middle East on account of US-Iran war which will put pressure on inflation globally. This may keep the interest rate higher for longer period.

Coming to the forex market, Rupee has experienced pronounced volatility, with the Indian Rupee depreciating by ~11% during the year against the USD (from 85.48 to 94.84), and continues to remain under pressure in the current fiscal driven by global geopolitical developments.

As per PPAC report, HSD consumption witnessed 4% growth, MS consumption witnessed 6% growth and overall petroleum products consumptions have also grown by 2% in FY 2025-26 on y-o-y basis. IOC has achieved overall domestic petroleum sales volume growth of ~4.8% due to positive increase in market share.

Now let me briefly touch

upon the quarterly performance highlights. Talking about the numbers, the average price of Crude – Indian Basket during this quarter increased from \$ 63.87/bbl to \$ 83.01 /bbl (increase of ~30%) from the immediately preceding Quarter i.e. Q3 FY 26 due to ongoing US-Iran conflict leading to supply disruptions.

Urja Bharat Pte Limited (UBPL), a 50:50 Joint Venture company of Indian Oil has announced the oil discovery in operated Onshore Block 1, Abu Dhabi on 13.01.2026. The exploration concession was awarded to UBPL in March 2019. Now let me briefly touch upon the major verticals.

Refineries. During the year, Refineries achieved highest-ever crude throughput of 75.5 MMT with a capacity utilization of 107.4% in comparison to throughput of 71.6 MMT and capacity utilization of 101.9% during FY 24-25. For Q4 2025- 26, the throughput was at 19.7 MMT with a capacity utilization of 113.9% in comparison to throughput of 19.4 MMT and capacity utilization of 109.7% during Q3 FY 25-26.

Pipeline. During the year, Pipeline throughput reached a record 105.6 MMT with capacity utilization of 73.7% vis-à-vis 100.5 MMT during FY' 25 with capacity utilization of 71.7%.

During the quarter, the capacity utilization was about 78.3% with throughput of 27.7 MMT compared to 76.3% with throughput of 27.6 MMT in the immediate preceding quarter.

Marketing. I am pleased to share that Indian Oil has recorded highest ever total sales volume of 105.117 MMT recording growth of ~5% (FY'25 100.292 MMT). During Q4 25-26, sale volume of 27.343 MMT was achieved as compared to sale of 27.184 MMT in Q3 2025-26.

During FY 25 - 26, 2597 retail outlets were commissioned, taking the total number to 42,818.

We have commissioned a record 909 retail outlets in D1 class market, i.e. National Highways

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leading to positive market share. Our Lube business achieved record sales of 905 TMT during the year, reflecting ~16% growth.

Petrochemicals. For FY 2025 - 26, petrochemical reported highest-ever sales of 3.396 MMT (FY'25 3.236 MMT). For Q4 2025-26, sale of 0.901 MM T was achieved as compared to 0.893 MMT in the preceding quarter.

Gas. For FY 2025-26, total gas sale was 7,276 TMT including CGD sale of 188 TMT vis a vis sale of 6,892 TMT (including CGD sale of 113 TMT) for FY 24-25. During the quarter, we registered gas sales of 1,814 TMT which includes CG D sales of 54 TMT as compared to total gas sales of 1,937 TMT (includes CGD sales of 51 TM T) during the preceding quarter.

In a milestone development, Indian Oil commenced India's first-ever export of Liquefied Natural Gas (LNG) by road to Nepal. IndianOil has established cryogenic storage and regasification facilities at Simara, Nepal, laying the foundation for the nation's industrial LNG ecosystem and promoting cleaner fuel adoption.

Biofuels and renewable energy. We have achieved ethanol blending percentage of 19.97% on all India basis up to March 2026.

Our wholly owned green subsidiary company Terra Clean Limited has received connectivity approvals for 2.65 GW capacity on Central Transmission Utility (CTU) and State Transmission Utility (STU). Project activities including land aggregation, tenders for long lead items like transformers, end to end wind tender (for 100 MW) etc. are in progress.

Through Terra Clean Ltd. we are aggressively exploring Commercial & Industrial (C&I) customers across India for providing reliable green power through long term Power Purchase Agreements under the Group Captive Open Access mode. Indian Oil aims to develop 31 GW of renewable energy by 2030.

Hydrogen. The green hydrogen plant of 10KTA at Panipat Refinery is expected to be completed by December 2027.

Indian Oil is developing in-house green hydrogen ecosystem, which include indigenous technology for generation of Low-cost green hydrogen production; ISO qualified t

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composite hydrogen storage cylinders for onboard hydrogen storage, which are lighter and cheaper than imported cylinders; Range of hydrogen fuel cell applications across Retail outlets, two-wheelers, indigenously developed hydrogen powered drones enabling enhanced endurance; Mobile Hydrogen Refueller for hydrogen dispensing in remote locations.

Notably, Indian Oil is the only company in the country dispensing hydrogen through our fuel

stations at R&D centre in Faridabad and Gujarat Refinery, Vadodara and undertaking field trials on hydrogen fuel cell buses and viability study for Hyundai NEXO Hydrogen Fuel Cell Electric Vehicle (FCEV) through 2 year real world test.

Under the National Green Hydrogen Mission policy, we have partnered with Tata Motors Limited to undertake trials on hydrogen fuel cell buses across four major highways. We will also Indian Oil Corporation Limited
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develop two new hydrogen dispensing stations along Mumbai-Pune and Jamshedpur-Balasore corridor.

Capex. During April to March '26, the Company incurred a total capex of Rs. 31,401 32,405 crore, encompassing investments across all verticals. The budgeted capex target for the FY 26-27 is Rs. 32,700 Crore. These investments are aligned with our long-term strategic roadmap and national energy priorities.

The major refining and petrochemical expansion projects across Panipat, Barauni, Gujarat, and Paradip are at advanced stages of execution and are targeted for completion during 2026. Phase-wise commissioning of process units, utilities, and offsite facilities is being undertaken in a structured manner to enable progressive capacity build-up and integration.

As you are aware that currently we are working on three major expansion programs and refineries. Panipat refinery expansion is expected to be completed by December '26, Barauni by August '26 and Gujarat by November '26.

Borrowings. With respect to the Borrowing levels, the borrowings as on 31st March 2026 has moderated by about Rs. 5,280 Crore during the quarter & about Rs. 23,798 Crore during the year and is at Rs. 1,10,668 crore level. The reduction in the borrowing was mainly on account of higher profitability and working capital changes.

As of 31st March 2026, the Company's gross debt-to-equity ratio stood at 0.54, reflecting a comfortable leverage profile. After adjusting for financial investments, the net debt-to-equity ratio further strengthens to 0.32, positioning us well to pursue growth opportunities, absorb market volatility, and maintain financial strength across cycles. With these words, I take a pause here and request Director of Finance for his further remarks.

Anuj Jain: Thank you, Nitin. I would like to extend my sincere appreciation to our investors and all stakeholders for their continued confidence and support. The progress achieved during the year underscores the dedication of our teams and the strength of our operating model. As we move forward, we remain focused on sustaining momentum, strengthening our core businesses, and delivering consistent, long-term value to our stakeholders. With that, I will end my briefing here. We would now be happy to take your questions. Over to you.

Moderator: Thank you so much. Ladies and gentlemen we will now begin with a question and answer session. Our first question comes from the line of Vivekanand from Ambit Capital. Please go ahead.

Vivekanand: Yes. Thank you for the opportunity. I have two questions. The first one is on Project SPRINT. Now that you have completed 1 year of this project, what is the progress that you have to share on this both on the capex and the opex front? And if you could quantify and help us understand how to track this in the context of the dislocation that has happened due to the war. That would be great. That's question one.

The second one is on the capex priorities beyond the current e

xpansion phase. I do understand

that several of your refining expansion programs are nearly drawing to a close. So in terms of Indian Oil Corporation Limited
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how you are looking at aligning yourself within national priorities in view of the recent turn of events. How should one think about the capex allocation for the next 3 years? And also any major projects that you want to call out? Thank you.

Anuj Jain: I will take the first question. As we have shared in the opening remarks, that the company has achieved the highest level sales in all the physical parameters, whether it is refining, whether it is marketing. So I think the SPRINT has given us the good outcomes, which is noticed in our results also. As far as the capex and opex are concerned, I would like to share that on overall basis, we have achieved measurable savings of approximately INR2,200 crores during financial year 25-26 on account of Project SPRINT.

This INR2,200 crores were saved on account of various initiatives like the reduction in repairs and maintenance expenditure, our energy efficiency parameters and supply chain optimization. So many factors contributed to almost INR2,200 crores. And for next year 26-27, we are

targeting savings of INR2,500 crores from this initiative.

As far as capex is concerned, this entire strategy was to continue our momentum to meet all our plan expenditure while simultaneously reducing our non-earning capex or what became maintenance capex. So I'm happy to share that all of our projects which have been planned are going in line with our management expectations. And we have also optimized our capex on the maintenance portfolio.

Now coming to your second question, which was on the capex allocation going forward. See, Indian Oil is a very, very diversified company. We do investments in our refining, marketing, petrochemical, gas, renewables. And the company has a very robust capital allocation policy to ensure that the momentum to take this company forward is maintained, while we continue to invest in our existing business, we are also investing into new and new businesses in renewable sector. And the exact numbers, I will be able to share through our corporate finance team. Thank you.

Vivekanand: Okay. So, you are saying that the other expenses line item is where the take-out of the INR2,200 crores is likely to have happened, right? Is that understanding correct?

Anuj Jain: Yes. To a major extent, yes. But some initiatives are in the nature of energy efficiency, which are not exactly coming in other expenses. It comes part of my operating margins. So everything, I would say 50-50 would be coming in my other expenses or you would say, revenue expenditure side. And another INR1,000 crores would be coming in my margin side.

Vivekanand: Okay. Got it. Anuj, I appreciate the color on capex. Just a broad breakup, maybe percentage-wise in terms of the key heads like refining marketing petchem over the next 3 years. That will help. And if you have any number in mind at an aggregate level, even that will be very helpful? Thank you.

Anuj Jain: I will be able to share my next year's capex. Next year, I'm going to spend almost INR32,700 crores in the financial year 26-27. And I can also share that these expenses, the broad bifurcation should be majorly in refining and existing pipeline setup. And major expenses are going to this segment and maybe INR5,000 crores will be going to the renewable segment out of that.

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Vivekanand: Okay. Thank you.

Moderator: Thank you. Next question comes from the line of Sumeet Rohra from Smartsun Capital Private Limited. Please go ahead.

Sumeet Rohra: Yes, hi sir. A very good afternoon to you and your entire team at Indian Oil. So firstly, I mean, very well done on the financial performance of last financial year. So excellent performance

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from all of you. Sir, my question -- and sir, firstly, my question to you is now as an Indian citizen is that hats off to you guys are in a very challenging environment globe, countries are really not getting fuel. You all 3 have done a fantastic job. So great stuff on that.

Now sir, my question to you would be now as an investor point of view. Is that -- what's the thought process you're seeing today on pricing? Because, sir, I mean, the only reason I check on this is because we are a very high-volume company and you have recoveries today like the way we have is obviously very alarming for us as investors, right? Because I mean today, for example, whatever losses we report in Q1, to recover that, we would need a couple of quarters. So as an investor, our financial metric could obviously come off for this financial year. So and today, the matter of fact is that we've seen a INR0.90-0.95 increase in fuel prices. So can we now think on the grounds that we could go back to the daily pricing regime, which was existing in the past. So if you can just share some thoughts of how you look at the situation as well. Because you've handled the supply side extremely well. But now how do you look at the pricing point of view? And are we looking to get pricing aligned to market prices in the very near term? It would be very nice to get your thoughts, sir?

Anuj Jain: See, Sumeet, you have already stated that today, the priority is to ensure the energy security to our citizens. And Indian Oil remains one of the company which has that responsibility, and we are trying our best to fulfill that. As we have stated in the beginning, we are trying to manage our entire supply chain and realign that in the most optimum way. Because of these disruptions, we have diversified our crude sourcing, LPG sourcing countries.

We have changed our refinery diet. We have -- but at the end, we have ensured that the product is available at all retail outlets at all LPG distributors at all point of time. Now as far as the -- how to mitigate the situation is concerned, situation is very uncertain and unstable. We are working on a day-to-day basis to manage that crisis and the right decisions are being taken at appropriate levels to ensure that both energy security and the company's viability remains.

As far as specific numbers are concerned, we have stated that we will not be able to give some specific forward-looking guidance as of now as we are in the midst of a quarter, which is going on, still we are on 19th of May. Things change every day. So -- but one thing is sure that we are

monitoring the situation very closely and taking appropriate decisions.

Sumeet Rohra: Okay, sir. Thanks for that.

Moderator: Thank you. Our next question comes from the line of Mayank Maheshwari from Morgan Stanley. Please go ahead.

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Mayank Maheshwari: Thank you sir for the call. Despite the challenging quarters that you are in right now. My first question was more related to the plans that you talked about around refining expansion. I think you have kind of highlighted by December of this year, you would be kind of starting pretty much most of the refineries now. Can you just give us a bit of an idea around where -- what is the status now for all the 3 refineries, where is the ramp-up stages? And can we expect full utilization rate of the 3 refineries by end of this year?

Anuj Jain: Yes. See, Panipat refinery, which is being expanded from 15 million metric tons to 25 MMTPA. See, the approved cost is around INR38,000 crores. And out of that, we have already spent approximately INR27,000 crores as on date. And we expect our completion to happen in December '26. The second one, Gujarat refinery, which is being expanded from 13.7 MMTPA to 18 MMTPA, the total cost -- expected cost is INR 19,000 crores, and we have already spent INR13,500 cr

ores as on date.

And we also expect this to come in the similar time frame in November, December. And Barauni also, which is expected to -- we are expanding from 6 MMTP to 9 MMTPA. Our approved cost is INR18,000 crores. And out of that, we have already spent INR13,000. And this is also expected to come near the same timeframe. So you are correct to say that all the 3 refineries expansions are coming within the same time. And our teams are working day and night to achieve these commissioning dates.

Mayank Maheshwari: And sir, when we talk about commissioning, we are basically saying that is when you will get your first crude in and then you kind of ramp up from there? Or is it like a ramp-up state we are talking about?

Anuj Jain: No it's the first crude in we take, and we start our operations on that date. And over the time.

Mayank Maheshwari: About a year of stabilization from there?

Anuj Jain: Generally, we say 60% capacity should come in the first year and 80% next year and 100% in the third year.

Mayank Maheshwari: Got it, sir. And I think the second question was more related to the question around the last quarter. Can you talk about a bit around what were your refining margins or whatever margins you want to kind of give us and to get a perspective to reflect on a quarter-on-quarter basis, how things have moved. Obviously, things are volatile. We completely understand that. And also, if you can just highlight how much was the impact in the month of March because of the situation that evolved around the conflict?

Anuj Jain: See, if you have seen our results, we have given a very categorically statement there for the benefit of our investors that in the end of February '26, conflict arose in Middle East region, leading to supply uncertainties and result in volatility in the price of crude oil and petroleum products in the international market. The profitability for the year 25-26 was largely insulated from the impact of these developments due to inventory procured at normal prices before the conflict.

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So 25-26 results have not got impacted to a major extent. Now coming to your first question of the refining margins. See, refining margins have been quite volatile and unstable during the -- particularly this quarter. Last year was quite stable for the full year. But what we felt that Indian Oil is an integrated energy company and gross refining margins reflect only the performance of refinery segment. Therefore, using GRM alone as a benchmark of overall performance may not give the correct picture to our investors.

And now we are focusing that -- let us focus on EBITDA and PAT to see the overall performance of the company. This statement becomes much more important given the situation which is prevailing today in Q1, where the refining margins are extraordinarily high, but our marketing margins are intact. So that way, we have not disclosed our GRMs during this quarter in our financial results.

I will also add to say that there is no standard practice methodology for calculating GRMs. And each company is having its own methodology. So that also added to our decision that the PAT and EBITDA should be the better showcase of our performance.

Mayank Maheshwari: Okay. We normally compare for each company like-to-like quarter-on-quarter, Y-o-Y, but okay. I get your point. And in terms of the capex, the last question I had was like you are still maintaining your guidance for spending around 50% of fiscal '27 capex on refining. Considering these 3 projects are kind of done, is there anything specific that this money would be spent on?

Anuj Jain: See, whenever the commissioning happens, the payments take some time. So there's a difference between the commissioning and physical progress and the payment cycles. So that is why there would be a substantial cash outgo on account of the completed projects in this financial year.

Mayank Maheshwari: So we should be seeing lower capex is on refining starting fiscal '28 is what you're kind of towards.

Anuj Jain: Yes.

Mayank Maheshwari: Got it. Thank you.

Moderator: Thank you. Our next question comes from the line of Hardik from ICICI Bank. Please go ahead.

Hardik: As you mentioned that the GRM we are not disclosing, it is just for the quarter or going forward, this will be the policy? How is it?

Anuj Jain: See, till the time so much instability and volatility remains, I think giving GRM would not be a correct way of disclosing our financial statements because at one point of time, you may find GRM is excessively high, which doesn't get reflected in my profitability. So till that time, we are making it a pause. But, we may consider once again once the situation normalizes.

Hardik: Okay. Okay. And sir, may I know how is the LPG under recovery in April and May?

Anuj Jain: Yes, I can share with you. Just give me 1 minute.

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Hardik: And also, can you just highlight there has been a substantial increase in the operating cost. So if you can just help us the breakup or where the incremental cost has been there?

Anuj Jain: See, the under recovery per cylinder was INR100 in the quarter 4 of financial year '25-'26, which went high to INR171 in April 2026, which has further increased to INR670 in May 2026. LPG buffer position as on 31st March '26 is INR23,102 crores. I would also like to share that LPG loss incurred during quarter 4 '25-'26 is INR2,405 crores. And for full financial year '25-'26 is INR9,211 which is without registering any subsidy, which is being received by the company.

Hardik: On breakup of or why there is a substantial increase in operating costs, other expenditure?

Anuj Jain: Give me one minute, please. Okay. I will give you this answer by the time I get this information. If you have any other question, or I will come back to you for this answer.

Hardik: Yes, Yes.

Anuj Jain: But I can always share that the exchange loss was a major factor of this increase in the other expenses. As you know that the rupee depreciated by almost 9% 11% during this financial year '25-'26. So the exchange losses have been the major contributor in the other expenses. But Specific information I will be able to give you again.

Hardik: That's all from my side. Thank you.

Moderator: Thank you. Our next question comes from the line of Bineet Banka from Nomura. Please go ahead.

Bineet Banka: Hi, sir. Thanks for the opportunity. Sir, regarding the refining margins, so do you think that the world is entering a refining super cycle and GRMs will average at a much higher level than what we have observed the number before the war. And this is especially true for Indian refiners where the output of diesel is much higher than, say, Singapore GRM and the cracks have been very high.

So I'm asking this because much of the upside for IOCL will be coming from the refinery expansion. So 25% odd capacity is being added. So what is your view on the GRM going forward, maybe for FY '27-'28?

Anuj Jain: See, although I have said again and again that I will refrain from forward-looking statement, but yes, I can share that world is, definitely will be facing some cycles of higher refining margins going forward because whatever has happened, whether in Russia, Ukraine or in U.S., Iran, it has disrupted the refining and upstream assets also.

So all in all, because of the various uncertainties, refining margins are expected to remain on the higher side until this geopolitical situation normalizes. And if you see for the past 5 years itself, refining margins have been quite high. So yes, refining margins are expected to remain high in next 1 or 2 years because of these uncertainties.

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Bineet Bank

a: Okay. Thank you, sir. And my second question is regarding after the increase in capacity for refining, will IOCL have surplus petrol and diesel production compared to the marketing volume? And what will be -- you will be exporting these volumes or selling to, say, other OMCs?

Anuj Jain: See, the kind of demand we are seeing in India, we feel that we may not have major exportable surplus on a sustained basis from our refining systems. But from season to season because India also faces a seasonal demand in the monsoon period, in the winters, in the summers.

So from the seasonal point of view, yes, we would be exporting. But on a sustained basis, we don't anticipate major exports coming, except for a few products like maybe naphtha for some point of time or furnace oil, but not to a major extent, we see any exportable surplus.

Bineet Banka: Okay, sir. And the refinery throughput for FY27, shall we assume it will be higher than FY '26 because the utilization has been around 108%? And assuming that there is some normalization there, and you will be adding some capacity towards the end of the year. So what should we think about throughput for the refinery?

Anuj Jain: See, I would not like to comment on the additional capacities, which will come on account of expansions. But from an existing refining setup, I expect similar refining throughput next year also because if you see this year has been one of the highest throughput. And current year, we are having a few shutdowns, planned shutdowns.

So -- and a few shutdowns, which were planned this year will come back next year. So we are expecting that next year, we should be having almost 75 MMTPA of refining throughput on a standalone basis. If you add CPCL, that will be another 10. From Indian Oil, we would be having 75 MMTPA of refining throughput.

Bineet Banka: Okay. Thank you, sir. I will get back in the queue.

Moderator: Thank you. Our next question comes from the line of S. Ramesh, an Individual Investor. Please go ahead.

S. Ramesh: Good evening and thank you very much. So, if you look at your Petroleum segment results, can you share what is the impact of the inventory accounting included in this petroleum segment result for the fourth quarter?

Anuj Jain: Actually, because of various factors, I would say that '25-'26 as a whole year was a very stable year for us. And as specific inventory numbers are concerned, I would like to refrain from the specific numbers as on date. But if you want, you can get in touch with my corporate finance team to help you out on this.

S. Ramesh: Okay. So on the petrochemical segment and the gas segment, can you share some thoughts on what are the drivers for the petrochemical turnaround? Is it due to inventory gains? Or is there a sustainable improvement in the spread? And do you expect this trend to sustain? And on the gas segment, what has resulted in the loss? Is it from your LNG business or in the standalone CGD? And how do you expect the gas business to shape up over the next 1, 2 years in terms of the profitability?

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Anuj Jain: See, I have shared that we had the highest petrochemical sales during the year financial year '25-'26. And if you see the fourth quarter was very good for the petrochemical segment. So that was the additional margins what we earned in the Q4 in petchem. But as far as gas is concerned, gas prices remained on elevated levels and that has impacted the quantity of sales and to the margins to some extent.

So we are also watching the situation on gas front, how it will turn out because of this now geopolitical situation, the gas prices have gone up significantly. So it's a situation we are monitoring, and let's see how the gas volumes take shape in the current financial year. As far as petrochemicals are concerned, we expect to continue have a higher sales volume and also give reason

able good returns from this business segment.

S. Ramesh: Sir, just one more follow-up question on the gas segment. So in terms of the progress on the standalone city gas distribution network, what is the kind of ramp-up you expect this year? And when do you see the CGD business turning profitable? Because just to understand if the entire loss is on the LNG trading? Or is there some loss on the stand-alone CGD stations which are commercialized, which you expect to eventually make it profitable? So how do you see the stand-alone CGD business shaping up in the next 1, 2 years?

Anuj Jain: See, as far as CGD business is concerned, we are having an EBITDA positive in '25-'26 Q1 itself, and we have become PBT positive by the end of the financial year '25-'26. So as far as CGD business is concerned, it is now a net positive contributor in my P&L. And going forward, we expect our volumes to go up in next financial year from this segment as well.

S. Ramesh: In terms of the gas supply chain for the CGD business, apart from the new oil gas and the APM gas, are you able to source enough LNG for the kind of ramp-up of plans for the stand-alone CGDs? And how are you managing the supply chain for the natural gas there for the CGD business?

Anuj Jain: See, there is no constraints in the availability of gas as such. It is only the pricing issues actually. So it's more of a decision whether you will be able to pass on this higher gas to your customers or your internal system. So based on various factors, the CGD business is going up, volumes are going up, and I've shown to you that it is a PBT positive for me now from '25-'26, Q4 onwards. And going forward also. I will also share with you that we have many of the suppliers declared force majeure due to closure of Strait of Hormuz. So that affected our business, but we also diversified our spot procurement from Indonesia, Nigeria, Angola, Oman. So we have now diversified our import sources also. All in all, I will just say that it's a pricing issue, not a supply constraint.

Moderator: Our next question comes from the line of Ajit Darda from Nirzar Securities.

Ajit Darda: Am I audible?

Anuj Jain: Yes.

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Ajit Darda: Sir, my question is around the proposed JV between SCI and oil PSUs. So in light of the current energy security concerns, when this JV is expected to be finalized and operational, sir?

Anuj Jain: See, under the aegis of MOPNG and Minister of Shipping, a nonbinding MOU was signed between the Oil CPSEs and Shipping Corporation of India for formulation of a joint venture company for ownership and maintenance of vessels with focus that some of them should be built in India. Indian Oil is exploring to purchase 4 MR vessels to start with. It is established that the CPSEs have complementary capabilities and jointly acquire and manage the operation of vessels and thereby exercise better control on the petroleum supply chain.

The companies, whether it is both Oil PSUs and SCI have agreed in principle to work together and collaborate on acquisition and operation of vessels on mutually beneficiary basis. The JV formulation structure is known to everybody. So over to you.

Ajit Darda: And sir, with vessel acquisitions happening at peak of the cycles, what minimum benchmarks or ROCE is targeted by this JV?

Anuj Jain: Today, I will not be able to give you the exact numbers, but these issues are being discussed between the companies and the SCI. Due diligence is going on as on date, I can say.

Ajit Darda: And sir, will that JV be a nodal agency going forward for the oil PSUs or it will be still on competitive basis for other players as well?

Anuj Jain: All these things are under discussion as on date.

Moderator: Our next question comes from the line of Akshay Ajmera, an Individual Investor.

Akshay Ajmera: Just following up to the earlier participant's

question, how will we ensure, sir, in this shipping

business because it's a very cyclical business. So how will we ensure profitability of the JV because there are up cycle, there are abnormally high rate cycles, and it's a very long capex-intensive business. So how will we ensure that there are no losses in the JV?

Anuj Jain: As I said, all these issues are under deliberation. But I can just share with you that Indian Oil is an end user of the shipping business what we are talking about. And we are in a continuous business for the past more than 5 to 6 decades, and this is going to continue. So any arrangement which gives me the shipping security will be beneficial to the company and which is very much evident in the past 2 years that whichever company had a very strong shipping connection, it made best use of that during this crisis.

Akshay Ajmera: That was really helpful, sir. Sir, at present, what is the estimated annual spend by us on shipping freight charges? And what percentage we are expecting that it will go through the proposed JV?

Anuj Jain: I will tell the Corporate Finance team to give it to you through the coordinator, please. I don't have the ready numbers with me.

Akshay Ajmera: No problem, sir. And it will be primarily a very long-term arrangement, 5, 10, 15 years?

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Anuj Jain: Yes, yes. It is going to be a long-term joint venture company because the shipping business has a long gestation period.

Akshay Ajmera: What is the expected time line, sir? When are we expecting this to be operationalized?

Anuj Jain: Things are under discussion and the due diligence is going on. So we are quite focused on this joint venture company.

Moderator: Our next question comes from the line of Vikas Jain from CLSA.

Vikas Jain: Anuj ji, if you could also give a sense of the ramp-up of these reasonably large capacities which are coming in the sense of not just throughput, but also the upgrader units by when do you think they will get to full utilization? Should we assume that everything to get at full utilization will

be 3, 4 quarters from the time they start, so maybe more like towards the end of 2027 is when all of these units will be fully stabilized?

Anuj Jain: Actually, as you know that Indian Oil is already managing 10 refineries, have handled refinery expansions in the past. As a thumb rule in our company, we say the first year, we will achieve 60%. Next year, 80% minimum. And by the third year, we achieved 100%. Percentages can go a little bit here and there. But on a broad basis, this is what we have seen in the past.

And this is how we make our profitability metrics also when we take management approvals on any expansion. And all these are Brownfield expansions, and they're expected to take a lesser turnaround time. So this 60, 80, 100 is on the outer scale, we expect it to turn around much faster.

Vikas Jain: So, FY29 should be the number, should be the time when we should have more or less, hopefully, given that these are Brownfield more or less...

Anuj Jain: I can't give a specific year, but I would definitely say that being a Brownfield expansion, we expect them to come on board very quickly.

Moderator: Next question comes from the line of Dhvaneet with Savla Family Office.

Dhvaneet: I have only one question. I heard previously that you were saying that the pricing is an issue on the gas side, not the supply. Does it apply to the supply of petroleum products as well? And till what time are we confident about this situation? So we are like 30 days, 40 days, 50 days of stock with us? Or is there some point where we might actually not be able to supply the petrol diesel at the pumps?

And in terms of pricing, I know you cannot elaborate much on it, but is it fair to say that since the oil price of oil has gone up by like 50% or it's doubled, then probably the pump prices should

also double for us to be able to breakeven?

Anuj Jain: I will reply to your first question first. See, as far as the supply of crude oil and other petroleum products are concerned, we have consistently seen that particularly crude oil, there are very diversified sources are available and all our refineries are operating on a full capacity since the crisis have started. So, we are making sure the crude oil is available.

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Yes, LPG had a constraint, but we have managed to diversify our sources of LPG and reasonable good quantity of LPG has been made available. And that is why if you see constant supply availability of LPG is being ensured PAN-India basis from all our distribution channels.

Now coming to your second question about the inventory levels, we don't have any shortage of either crude oil and LPG. But yes, crude oil number of days inventory is still being maintained for over a month. LPG inventory has come down, but still it is being managed so that we have enough LPG availability PAN-India basis.

Now coming to your third question about the pricing, as I have said that the situation continues to be very uncertain and unstable. We are monitoring the situation and appropriate decisions are being taken at appropriate level to mitigate the situation.

Dhvaneet: Sir, I know you can't -- I agree with your statement on pricing. What I was trying to understand is, is my assumption correct when we say that if the price of crude has moved up by \$50 or double, then probably for us to be able to make a decent margin, the price at the pump should also go up by that same quantum? Or is there a lot more calculation which goes within it?

Anuj Jain: See, it depends upon a number of the factors. prevailing in the country, outside the country. And as I said many number of times, we will not be able to give any specific guidance on this matter.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for the closing remarks. Thank you, and over to you.

Anuj Jain: Thank you all for your time and insightful questions. On behalf of the entire India Oil team, I deeply appreciate your continued trust, confidence and support. We value our engagement and look forward to future interactions and keeping you updated on our progress. Stay safe and take care. Jai Hind.

Moderator: Thank you so much, sir. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.